

Independent Auditors' Report

To the Members of Star Health And Allied Insurance Company Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Star Health And Allied Insurance Company Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2023, the Revenue accounts of miscellaneous insurance, the Profit and Loss account and the Receipts and Payments account for the year then ended, the schedules annexed there to, including a summary of the significant accounting policies and notes forming part of the financial statements, (hereinafter referred to as "the financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Insurance Act, 1938, as amended by Insurance Laws(Amendment) Act, 2015 (the "Insurance Act"), the Insurance Regulatory and Development Authority Act, 1999 (the "IRDA Act"), Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002 ("the IRDA Financial Statements Regulations"), Circulars / Orders / Directions issued by the Insurance Regulatory and Development Authority of India (the "IRDAI" / "Authority") in this regard, and the Accounting Standards specified under Section 133 of the Companies Act, 2013 (the "Act") read with Companies (Accounting Standards) Rules, 2021, as amended, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, as applicable to Insurance Companies:

- a. in the case of Balance Sheet, of the state affairs of the Company as at March 31, 2023;
- b. in the case of Revenue Accounts, of the operating profit in Miscellaneous business for the year ended on that date;
- c. in the case of Profit and Loss Account, of the profit for the year ended on that date; and
- d. in case of Receipts and Payments Account, of the receipts and payments for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those SAs are further described in the Auditor's Responsibilities for the Audit of the financial statements section of our report.

We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Insurance Act, the IRDA Act and the IRDA Financial Statements Regulations, the Act and the Rules thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters:

Key Audit Matter	How our Audit Address the Key Audit Matter
1) Claim Settlement - Claims are a significant expense for the company. - Provisioning of Outstanding Claims including Claims Incurred but Not Reported (IBNR) and Incurred but Not Enough Reported (IBNER) are significant in magnitude and requires use of judgements and estimates. - With regards to the claims provision, the Company makes a provision for claims upon intimation, on receipt of documents, communication from co-insurer leader in cases of incoming co-insurance business etc. The estimates undergo a revision based on further information and the settlement amount could vary from the provision created. - The estimate of the claim involves a high degree of judgement.	- We tested the design operative effectiveness of controls around the due and intimated claims recording process. We additionally carried out the following substantive testing. - Assessed and tested the operating effectiveness of key controls relating to the claims handling and reserving process, including controls over completeness and accuracy of the claim estimates recorded; - Substantive tests were performed on the amounts recorded for a sample of Outstanding Claims, which are material to assess whether claims are appropriately estimated and recorded; - The actuarial valuation of liability in respect of Claims Incurred but Not Reported (IBNR) and those Incurred but Not Enough Reported (IBNER) is as certified by the Company's Appointed Actuary and we have relied upon on the appointed actuary's certificate in this regard; - Tested the completeness and accuracy of underlying data provided by the Management to the Appointed Actuary on a sample basis; - Results of our test has provided audit evidence which we have used to draw conclusions including our reporting.



Key Audit Matter	How our Audit Address the Key Audit Matter
2) Valuation of Investments	
- Investments represent a substantial portion of the assets of the Company which are valued in accordance with accounting policies and the regulatory guidelines. - The Company has a policy framework for Valuation of Investments. - The Company performs an impairment review of its investments periodically and recognizes impairment charge, whenever required.	To ensure that the valuation of investments in the financial statements is as per the policy of the Company and the IRDAI regulations. We have performed the following procedures: - Reviewed the manner in which the investments have been made by the Company to ensure that the investments are in accordance with the IRDAI guidelines. - Tested the management oversight and controls over valuation of investments. - We have obtained the Confirmation of Balances for the Investments. - Independently verified the valuation of quoted investments. - Reviewed the Fair Value Change Account for specific investments. - Reviewed the compliance with the IRDAI guidelines on recording of Income on non-performing investments
3) Upgradation to New Operating and Accounting Software:	
- Considering the increasing business volumes and the need to move into a more comprehensive internal control system, the Company has initiated steps to upgrade its current operating and accounting software to an advanced system. - Consequently, the management is in the process of migrating data to the new system in a phased manner. - The process of data migration is highly dependent on information technology including automated and manual controls and availability of complete and accurate electronic data due to the size and complexity of the operations. - Due to the number of integrated /non – integrated systems used and the process used for the consolidation of data, this is a key audit matter for our audit	Based on a walkthrough of the upgradation process and on a review of the procedures followed thereon, we have conducted the following additional steps as part of the Audit process: - Review of access control to systems by verifying the permissions and responsibilities of authorised personnel. - Performed additional procedures such as reconciliations between systems, applying additional testing, extended our sample sizes, to obtain adequate and appropriate audit evidences. - Reviewed the controls with respect to manual processes of data of the business and ensured data integrity. - Our audit procedures include obtaining an understanding of the transaction and to ensure that the new upgraded environment meets the integrity and reliability tests of auditors.



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Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Director's report and Corporate Governance Report but does not include the financial statements and our auditors' report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and those charged with governance for the financial statements.

The Company's Board of Directors are responsible for the matters stated in Section 134(5) of the Act, with respect to the preparation of these Financial Statements to give a true and fair view of the financial position, financial performance and Receipts and Payments of the Company in accordance with and in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Companies Act, 2013 (the "Act") read with Companies (Accounting Standards) Rules, 2021, as amended, to the extent applicable and in the manner so required and the provisions of Insurance Act, 1938 as amended by the Insurance Laws (Amendment) Act, 2015 (the "Insurance Act"), the Insurance Regulatory and Development Authority Act, 1999 (as amended) (the "IRDA Act"), the Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002 (the "IRDA Financial Statements Regulations"), Circulars / Orders / Directions issued by the Insurance Regulatory and Development Authority of India (the "IRDAI"/ "Authority") in this regard.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the company's financial reporting process.



Auditor's Responsibilities for the Audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high-level assurance, but it is not a guarantee that an audit conducted in accordance with Standards of Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Company to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of this report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

The actuarial valuation of liabilities in respect of claims Incurred But Not Reported (IBNR), including claims Incurred But Not Enough Reported (IBNER) and provisioning for Premium Deficiency and Free Look Reserve as at March 31, 2023 is the responsibility of the Company's Appointed Actuary ("Actuary") and has been duly certified by the Actuary. The Appointed Actuary has also certified that in his opinion, the assumptions for such valuation are in accordance with the guidelines and norms, if any, issued by the IRDAI and the Actuarial Society of India in concurrence with IRDAI. We have relied upon the Actuary's certificate in this regard for forming our opinion on the financial statements of the Company. Our opinion is not modified in this matter.

Report on Other Legal and Regulatory Requirements

1. As required by the IRDAI Financial Statements Regulations, we have issued a separate certificate dated 28th April 2023 certifying the matters specified in paragraphs 3 and 4 of Schedule C to the IRDAI Financial Statement Regulations.
2. As required by the paragraph 2 of Schedule C to the IRDAI Financial Statement Regulations and the provisions of Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - c) As the Company's accounts are centralized and maintained at the corporate office, no returns for the purposes of our audit are prepared at the branches and other offices of the Company as required under Section 143(8) of the Act;
 - d) The Balance Sheet, the Revenue Accounts, the Profit and Loss Account and the Receipts and Payments Account (Cash Flow Statement) dealt with by this report are in agreement with the books of account;
 - e) In our opinion, the aforesaid financial statements comply with the applicable Accounting Standards specified under Section 133 of the Companies Act, 2013 (the "Act") read with Companies (Accounting Standards) Rules, 2021, as amended, to the extent applicable and with the accounting principles prescribed by the Regulations and Orders/Directions prescribed by IRDAI in this regard;



- f) Investments have been valued in accordance with the provisions of the Insurance Act, the Regulations and orders/directions issued by IRDAI in this regard.
- g) On the basis of the written representations received from the directors as on March 31, 2023 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164 (2) of the Act;
- h) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
- i) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
- The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note no. 5.1.1 of Schedule 16 to the financial statements,
 - the Company did not have any material foreseeable losses under long-term contracts for which provision is required on the balance sheet date (Refer Note 5.2.14 of Schedule 16). There are no derivative contracts.
 - There were no amounts which were required to be transferred, to the Investor Education and Protection Fund by the Company.
 - Since the information required under paragraph L-(xvi) of Schedule III to the Act, is not applicable to the Company, being an Insurance Company, the Company has not disclosed the same.
 - However, the management has represented to us that to the best of its knowledge and belief, no funds have been advanced or loaned or invested by the Company to or any other persons or entity(ies) including foreign entity with the understanding whether recorded or understanding whether the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities on behalf of the company (ultimate beneficiaries) or provide any guarantee, security or the like on behalf of the ultimate beneficiaries.
 - Further, the management has represented that, to the best of its knowledge and belief, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,
 - Based on the audit procedures adopted by us, nothing has come to our notice that has caused us to believe that the representations made by the management under sub clause (a) and (b) above, contain any material misstatement
 - The Company has not declared or paid dividend during the year.



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- vi. Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable to the Company with effect from April 1, 2023, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended March 31, 2023.
3. With respect to the other matters to be included in the Auditor's report, in terms of the requirements of Section 197(16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Company to its directors during the year is in accordance with the provisions of Section 197 of the Act and Section 34 of the IRDAI Act. We also refer to note no 5.1.11(A) of Schedule 16 to the Financial Statements with regard to status of IRDAI approval under section 34A of the IRDAI Act. The Ministry of Corporate Affairs has not prescribed other details under section 197(16) which are required to be reported upon by us.

For M/s. Brahmayya & Co.
Chartered Accountants
Firm Registration No: 000511S



K. Jitendra Kumar
Partner
Membership No: 201825
Date: 28 April 2023
Place: Chennai
UDIN No: 23201825BGUKCS7015



For M/s. V Sankar Aiyar & Co.
Chartered Accountants
Firm Registration No: 109208W



S Venkataraman
Partner
Membership No: 023116
Date: 28 April 2023
Place: Chennai
UDIN No: 23023116BGXEKM8450



"ANNEXURE A" TO THE INDEPENDENT AUDITORS' REPORT

(Referred to in paragraph 2(h) under 'Report on Other Legal and Regulatory Requirements' forming part of the Independent Auditors' Report of even date)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of Star Health And Allied Insurance Company Limited ("the Company") as of March 31, 2023 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the "internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India". These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013 and to the extent applicable with the accounting principles prescribed by the Regulations and Orders/Directions prescribed by IRDAI in this regard.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures



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that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

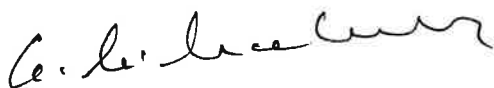
Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2023, based on "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India".

Other Matters

The actuarial valuation of liabilities in respect of claims Incurred But Not Reported (IBNR), including claims Incurred But Not Enough Reported (IBNER) and provisioning for Premium Deficiency and Free Look Reserve as at March 31, 2023 is the responsibility of the Company's Appointed Actuary ("Actuary") and has been duly certified by the Actuary, as mentioned in "Other Matter" paragraph of our audit report on the financial statements of the Company as at and for the year ended March 31, 2023. In view of this, we did not perform any procedures relating to internal financial controls over financial reporting in respect of the valuation and accuracy of the actuarial valuation of estimate of claims IBNR and claims IBNER.

For M/s. Brahmayya & Co.
Chartered Accountants
Firm Registration No: 000511S



K. Jitendra Kumar
Partner
Membership No: 201825
Date: 28 April 2023
Place: Chennai
UDIN No: 23201825BGUKCS7015



For M/s. V Sankar Aiyar & Co.
Chartered Accountants
Firm Registration No: 109208W



S Venkataraman
Partner
Membership No: 023116
Date: 28 April 2023
Place: Chennai
UDIN No: 23023116BGXEKM8450



INDEPENDENT AUDITORS' CERTIFICATE

To the Members of Star Health And Allied Insurance Company Limited

(Referred to in our 'Report on Other Legal and Regulatory Requirements forming part of the Independent Auditors' Report of even date)

This certificate is issued to comply with the provisions of paragraphs 3 and 4 of Schedule C to be read with Regulation 3 of the Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002 (the "Regulations") read with Regulation 3 of IRDA Financials Statements Regulations and may not be suitable for any other purpose.

Management Responsibility

The Company's Board of Directors is responsible for complying with the provisions of the Insurance Act, 1938 as amended by the Insurance Laws (Amendment) Act, 2015 read with Insurance Regulatory and Development Authority of India circular IRDAI/F&A/CIR/FA/059/03/2015 dated March 31, 2015 (the "Insurance Act"), the Insurance Regulatory and Development Authority Act, 1999 (the "IRDA Act"), the IRDA Financial Statements Regulations, circulars, orders/directions issued by the Insurance Regulatory and Development Authority of India (the "IRDA"), which includes the preparation of the Management Report. This includes collecting, collating, and validating data and designing, implementing and monitoring of internal controls suitable for ensuring compliance as aforesaid.

Auditors' Responsibility

Our responsibility, for the purpose of this certificate, is limited to certifying matters contained in paragraphs 3 and 4 of Schedule C of the Regulations. We conducted our examination in accordance with the Guidance Note on Audit Reports and Certificates for Special Purposes issued by the Institute of Chartered Accountants of India (the "ICAI"), which include the concepts of test checks and materiality.

The Guidance Note requires that we comply with the ethical requirements of the Code of Ethics issued by the ICAI. We have not performed an audit, the objective of which would be the expression of an opinion on the financial statements, specified elements, accounts or items thereof, for the purpose of this certificate.

We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that perform audits and reviews of historical financial information and other assurance and related services engagements issued by the ICAI.

Opinion

Based on our audit of financial statements for the year ended March 31, 2023 and in accordance with the information and explanations given to us and to the best of our knowledge and belief and based on our examination of the books of account and other records maintained by Star Health And Allied Insurance Company Limited ("the Company") for the year ended March 31, 2023, we certify that:

1. We have reviewed the Management Report attached to the financial statements for the year ended March 31, 2023, and on the basis of our review, there are no apparent mistakes in or material inconsistencies with the financial statements;



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2. Based on the management representation and compliance certificates submitted to the Board of Directors by the officers of the Company charged with compliance and the same being noted by the Board, nothing has come to our attention that causes us to believe that the Company has not complied with the terms and conditions of registration stipulated by IRDA;
3. We have performed alternate procedures to audit the existence of cash as per the guidance provided by in SA 501 "Audit Evidence – Specific Considerations for Selected Items" and have obtained sufficient audit evidence to issue the certificate. We have verified the securities relating to the Company's investments as at March 31, 2023, by on the basis of certificates/ confirmations received from the Custodian and/or Depository Participants appointed by the Company, as the case may be;
4. The Company is not a trustee of any trust; and
5. No part of the assets of the Policyholders' Funds have been directly or indirectly applied in contravention to the provisions of the Insurance Act, relating to the application and investments of the Policyholders' Funds.

For M/s. Brahmayya & Co.
Chartered Accountants
Firm Registration No: 000511S



K. Jitendra Kumar
Partner
Membership No: 201825
Date: 28 April 2023
Place: Chennai
UDIN No: 23201825BGUKCS7015



For M/s. V Sankar Aiyar & Co.
Chartered Accountants
Firm Registration No: 109208W



S Venkataraman
Partner
Membership No: 023116
Date: 28 April 2023
Place: Chennai
UDIN No: 23023116BGXEKM8450



Form B - RA
STAR HEALTH AND ALLIED INSURANCE COMPANY LIMITED
Registration No. and Date of Registration with the IRDAI : 129/16.03.2006

REVENUE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2023
FIRE BUSINESS

(Rs.'000)

Particulars	Schedule	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
1 Premiums earned (Net)	1 A	-	-
2 Profit/ (Loss) on sale/redemption of Investments		-	-
3 Interest, Dividend & Rent - (Gross)		-	-
TOTAL (A)		-	-
1 Claims Incurred (Net)	2 A	-	-
2 Commission	3 A	-	-
3 Operating Expenses related to Insurance Business	4	-	-
4 Premium Deficiency		-	-
TOTAL (B)		-	-
Operating Profit/(Loss) from Fire Business C= (A - B)		-	-
APPROPRIATIONS			
Transfer to Shareholders' Account		-	-
Transfer to Catastrophe Reserve		-	-
Transfer to Other Reserves		-	-
TOTAL (C)		-	-

For And On Behalf of Board of Directors



V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055



Anand Roy
Managing Director
DIN: 08602245



Deepak Ramineedi
Director
DIN: 07631768



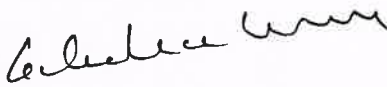
Nilesh Kambli
Chief Financial Officer



Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S



Jitendra Kumar K
Partner
M.No.: 201825

For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W



S. Venkataraman
Partner
M.No.: 023116

Place: Chennai - 600 034
Date: April 28, 2023



REVENUE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2023
MARINE BUSINESS

(Rs.'000)

Particulars	Schedule	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
1 Premiums earned (Net)	1 B	-	-
2 Profit/ (Loss) on sale/redemption of Investments		-	-
3 Interest, Dividend & Rent - (Gross)		-	-
TOTAL (A)		-	-
1 Claims Incurred (Net)	2 B	-	-
2 Commission	3 B	-	-
3 Operating Expenses related to Insurance Business	4	-	-
4 Premium Deficiency		-	-
TOTAL (B)		-	-
Operating Profit/(Loss) from Marine Business C= (A - B)		-	-
APPROPRIATIONS			
Transfer to Shareholders' Account		-	-
Transfer to Catastrophe Reserve		-	-
Transfer to Other Reserves		-	-
TOTAL (C)		-	-

For And On Behalf of Board of Directors


V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055


Anand Roy
Managing Director
DIN: 08602245


Deepak Ramineedi
Director
DIN: 07631768


Nilesh Kambli
Chief Financial Officer


Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S


Jitendra Kumar K
Partner
M.No.: 201825

For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W


S. Venkataraman
Partner
M.No.: 023116

Place: Chennai - 600 034
Date: April 28, 2023



REVENUE ACCOUNT FOR THE YEAR ENDED MARCH 31, 2023
MISCELLANEOUS BUSINESS

(Rs.'000)

Particulars	Schedule	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
1 Premiums earned (Net)	1 D	11,26,15,949	9,80,91,622
2 Profit/ (Loss) on sale/redemption of Investments		67,501	9,81,984
3 Interest, Dividend & Rent – (Gross)		49,46,725	38,13,642
TOTAL (A)		11,76,30,175	10,28,87,247
1 Claims Incurred (Net)	2 D	7,32,04,042	8,53,99,875
2 Commission	3 D	1,68,27,717	1,49,21,804
3 Operating Expenses related to Insurance Business	4	2,05,38,085	1,83,85,277
4 Premium Deficiency		-	-
TOTAL (B)		11,05,69,844	11,87,06,956
Operating Profit/(Loss) from Miscellaneous Business C= (A - B)		70,60,331	(1,58,19,709)
APPROPRIATIONS			
Transfer to Shareholders' Account		70,60,331	(1,58,19,709)
Transfer to Catastrophe Reserve		-	-
Transfer to Other Reserves (to be specified)		-	-
TOTAL (C)		70,60,331	(1,58,19,709)

For And On Behalf of Board of Directors



V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055



Anand Roy
Managing Director
DIN: 08602245



Deepak Ramineedi
Director
DIN: 07631768



Nilesh Kambli
Chief Financial Officer



Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S



Jitendra Kumar K
Partner
M.No.: 201825



For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W



S. Venkataraman
Partner
M.No.: 023116



Place: Chennai – 600 034
Date: April 28, 2023

Form B - PL
STAR HEALTH AND ALLIED INSURANCE COMPANY LIMITED
Registration No. and Date of Registration with the IRDAI : 129/16.03.2006
PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2023

(Rs '000)

Particulars	Schedule	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
1 OPERATING PROFIT/(LOSS)			
(a) Fire Insurance		-	-
(b) Marine Insurance		-	-
(c) Miscellaneous Insurance		70,60,331	(1,58,19,709)
2 INCOME FROM INVESTMENTS			
(a) Interest, Dividend & Rent - (Gross)		32,86,570	24,91,157
(b) Profit on sale of investments		44,847	6,41,454
Less: Loss on sale of investments		-	-
3 OTHER INCOME			
(a) Provision written back		9,437	-
(b) Interest on Income Tax Refund		9,008	67,320
(c) Others		38,604	13,708
TOTAL (A)		1,04,48,797	(1,26,06,069)
4 PROVISIONS (Other than taxation)			
(a) For diminution in the value of investments		-	-
(b) For doubtful debts		3,492	18,374
5 OTHER EXPENSES			
(a) Expenses other than those related to Insurance Business		-	-
(b) Investments written off		-	-
(c) Others			
i) Key Management Personnel Remuneration (Refer note 5.1.11 of Schedule 16)		16,16,215	8,44,197
ii) Management expenses allocated		-	-
iii) Donation		1,600	10,600
iv) Interest on NCD		5,30,454	4,56,620
v) Remuneration To Non-Executive Directors - Profit Related Commission		-	-
vi) Listing Fees / Other Charges		7,002	-
vii) Late Fees / Penalty (Refer note 5.1.14 of Schedule 16)		-	378
viii) CSR Expenses (Refer note 5.2.16 of Schedule 16)		16,067	6,413
ix) Consultancy fees		-	2,284
x) Bad Debts Written Off		7,466	7,794
xi) Loss/(Gain) on sale / Discard of Fixed Assets		2,473	13,628
TOTAL (B)		21,84,769	13,60,288
Profit/(Loss) Before Tax (A-B)		82,64,028	(1,39,66,357)
Provision for Taxation			
(a) Current Tax		-	-
(b) Deferred Tax		20,78,106	(34,69,530)
(c) Tax relating to earlier years		-	(90,139)
Profit/(Loss) After Tax		61,85,922	(1,04,06,688)
APPROPRIATIONS			
(a) Interim dividends paid during the year		-	-
(b) Proposed final dividend		-	-
(c) Dividend distribution tax		-	-
(d) Transfer Contingency reserve for Unexpired Risk		-	-
(e) Debenture redemption reserve		1,50,000	-
Balance of profit/ (loss) brought forward from last year		(1,76,52,050)	(72,45,362)
Balance carried forward to Balance Sheet		(1,13,16,128)	(1,76,52,050)

Significant accounting policies & Notes to financial statements 16
Earnings per share - Basic 10.70 (18.65)
- Diluted 10.41 (18.65)
(Refer note 5.2.B of Schedule 16)

For And On Behalf of Board of Directors


V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055


N. Kambli
Chief Financial Officer


Anand Roy
Managing Director
DIN: 08602245


Jayashree Sethuraman
Company Secretary


Deepak Ramineedi
Director
DIN: 07631768

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 0005115


Jitendra Kumar K
Partner
M.No.: 201825

For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W


S. Venkataraman
Partner
M.No.: 023116

Place: Chennai - 600 034
Date: April 28, 2023



Form B - BS
STAR HEALTH AND ALLIED INSURANCE COMPANY LIMITED
Registration No. and Date of Registration with the IRDAI : 129/16.03.2006
BALANCE SHEET AS AT MARCH 31, 2023

		(Rs.'000)	
Particulars	Schedule	As At March 31, 2023	As At March 31, 2022
SOURCES OF FUNDS			
SHARE CAPITAL	5	58,16,773	57,55,222
RESERVES AND SURPLUS	6	5,98,38,661	5,79,37,387
FAIR VALUE CHANGE ACCOUNT - SHAREHOLDERS		93,198	1,05,437
FAIR VALUE CHANGE ACCOUNT - POLICYHOLDERS		1,40,275	1,61,412
BORROWINGS	7	47,00,000	72,00,000
DEFERRED TAX LIABILITY		-	-
TOTAL		7,05,88,907	7,11,59,458
APPLICATION OF FUNDS			
INVESTMENTS - SHAREHOLDERS	8	5,34,58,643	4,49,38,790
INVESTMENTS - POLICYHOLDERS	8A	8,04,62,380	6,87,95,509
LOANS	9	-	-
FIXED ASSETS	10	11,13,355	11,71,288
DEFERRED TAX ASSET		56,88,997	77,67,104
CURRENT ASSETS			
Cash and Bank Balances	11	30,93,567	56,35,438
Advances and Other Assets	12	84,44,057	68,32,434
Sub-Total (A)		1,15,37,624	1,24,67,872
CURRENT LIABILITIES	13	2,03,00,810	1,96,11,492
PROVISIONS	14	7,26,87,410	6,20,21,663
Sub-Total (B)		9,29,88,220	8,16,33,155
NET CURRENT ASSETS (C) = (A - B)		(8,14,50,596)	(6,91,65,283)
MISCELLANEOUS EXPENDITURE (to the extent not written off or adjusted)	15	-	-
DEBIT BALANCE IN PROFIT AND LOSS ACCOUNT		1,13,16,128	1,76,52,050
TOTAL		7,05,88,907	7,11,59,458

For And On Behalf of Board of Directors


V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055


Anand Roy
Managing Director
DIN: 08602245


Deepak Ramineedi
Director
DIN: 07631768


Nilesh Kambl
Chief Financial Officer


Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S



Jitendra Kumar K
Partner
M.No.: 201825



Place: Chennai - 600 034
Date: April 28, 2023

For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W



S. Venkataraman
Partner
M.No.: 023116



STAR HEALTH AND ALLIED INSURANCE COMPANY LIMITED
Registration No. and Date of Registration with the IRDA: 129/16.03.2006
RECEIPTS AND PAYMENTS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2023

	(Rs '000)	
Particulars	Mar 31, 2023	Mar 31, 2022
Premium received from policyholders, including advance receipts & payables to policy holders	15,19,18,035	13,39,21,304
Other receipts	-	-
Receipts/(Payments) from other entities carrying on insurance business (including reinsurers)	(23,28,857)	80,40,831
Receipts/(Payments) to co-insurers, net of claims recovery	(2,01,229)	(2,66,830)
Payments of claims	(7,72,45,969)	(8,88,05,307)
Payments of commission and brokerage	(1,81,32,493)	(1,59,08,244)
Payments of other operating expenses	(2,06,99,744)	(1,92,01,295)
GST (Net off GST-ITC)	(2,04,86,778)	(1,70,17,326)
Income Tax	1,39,437	55,656
Deposits, advances and staff loans	(2,04,237)	(2,63,173)
Cash flows from Operating Activities	1,27,58,165	5,55,617
Purchase of fixed assets	(4,65,917)	(6,31,284)
Proceeds from sale of fixed assets	818	3,050
Purchases of investments	(1,31,39,23,555)	(1,56,62,74,049)
Sales of investments	1,29,57,60,645	1,52,24,01,168
Rents/Interests/Dividends received	76,73,286	66,59,756
Expenses related to investments	(16,552)	(19,048)
Cash flows from Investment Activities	(1,09,71,275)	(3,78,60,407)
Proceeds from issuance of share capital	6,07,979	2,09,48,132
Share issue Expenses	(44,472)	(2,92,351)
Proceeds from borrowing	-	47,00,000
Repayments of borrowing	(25,00,000)	-
Interest/dividends paid	(7,43,669)	(2,65,188)
Cash flows from Financing Activities	(26,80,162)	2,50,90,593
Net increase/(decrease) in cash and cash equivalents	(8,93,272)	(1,22,14,198)
Cash and cash equivalents at the beginning of the year	37,76,840	1,59,91,038
Cash and cash equivalents at end of the period	28,83,568	37,76,840

Payments of other operating expenses includes payment towards Corporate Social Responsibility of Rs. 16,068 thousands
(P Previous year FY22: Rs. 6,413 thousands)

Receipt and Payment Account is prepared under 'Direct Method'

For And On Behalf of Board of Directors


V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055


Anand Roy
Managing Director
DIN: 08602245


Deepak Ramineedi
Director
DIN: 07631768


Nilesh Kambli
Chief Financial Officer


Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S


Jitendra Kumar K
Partner
M.No.: 201825

Place: Chennai - 600 034
Date: April 28, 2023



For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W


S. Venkataraman
Partner
M.No.: 023116



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 1A

PREMIUM EARNED [NET] FIRE BUSINESS ACCOUNT

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Premium from direct business written	-	-
Add: Premium on reinsurance accepted	-	-
Less : Premium on reinsurance ceded	-	-
Net Premium	-	-
Adjustment for change in reserve for unexpired risks	-	-
Total Premium Earned (Net)	-	-

SCHEDULE - 1B

PREMIUM EARNED [NET] MARINE CARGO BUSINESS ACCOUNT

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Premium from direct business written	-	-
Add: Premium on reinsurance accepted	-	-
Less : Premium on reinsurance ceded	-	-
Net Premium	-	-
Adjustment for change in reserve for unexpired risks	-	-
Total Premium Earned (Net)	-	-



SCHEDULE - 1D

PREMIUM EARNED [NET] MISCELLANEOUS BUSINESS

(Rs.'000)

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Premium from direct business written	12,95,24,711	11,46,34,715
Add: Premium on reinsurance accepted	-	-
Less : Premium on reinsurance ceded	63,28,292	65,39,834
Net Premium	12,31,96,419	10,80,94,881
Adjustment for change in reserve for unexpired risks	1,05,80,470	1,00,03,259
Total Premium Earned (Net)	11,26,15,949	9,80,91,622

All premium written, less reinsurance, is from business in India.



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 2A CLAIMS INCURRED [NET] FIRE BUSINESS ACCOUNT

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Claims paid		
Direct	-	-
Add :Re-insurance accepted	-	-
Less :Re-insurance Ceded	-	-
Net Claims paid	-	-
Add Claims Outstanding at the end of the year	-	-
Less Claims Outstanding at the beginning	-	-
Total Claims Incurred	-	-

SCHEDULE - 2B CLAIMS INCURRED [NET] MARINE CARGO BUSINESS ACCOUNT

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Claims paid		
Direct	-	-
Add :Re-insurance accepted	-	-
Less :Re-insurance Ceded	-	-
Net Claims paid	-	-
Add Claims Outstanding at the end of the year	-	-
Less Claims Outstanding at the beginning	-	-
Total Claims Incurred	-	-

SCHEDULE - 2D CLAIMS INCURRED [NET] MISCELLANEOUS BUSINESS

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Claims paid		
Direct	7,78,13,763	8,92,99,185
Add :Re-insurance accepted	-	-
Less :Re-insurance Ceded	36,32,065	47,06,013
Net Claims paid	7,41,81,698	8,45,93,172
Add Claims Outstanding at the end of the year	84,22,904	94,00,560
Less Claims Outstanding at the beginning of the year	94,00,560	85,93,857
Total Claims Incurred	7,32,04,042	8,53,99,875

(Rs.'000)



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

**SCHEDULE - 3A
COMMISSION -
FIRE BUSINESS ACCOUNT**

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Commission paid		
Direct	-	-
Add: Re-insurance Accepted	-	-
Less: Commission on Re-insurance Ceded	-	-
Net Commission	-	-
Break-up of the expenses (Gross) incurred to procure business :		
Agents	-	-
Brokers	-	-
Corporate Agency	-	-
Referral	-	-
Others	-	-
TOTAL	-	-

**SCHEDULE- 3B
COMMISSION -
MARINE CARGO BUSINESS ACCOUNT**

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
Commission paid		
Direct	-	-
Add: Re-insurance Accepted	-	-
Less: Commission on Re-insurance Ceded	-	-
Net Commission	-	-
Break-up of the expenses (Gross) incurred to procure business :		
Agents	-	-
Brokers	-	-
Corporate Agency	-	-
Referral	-	-
Others	-	-
TOTAL	-	-

**SCHEDULE- 3D
COMMISSION -
MISCELLANEOUS BUSINESS**

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
COMMISSION PAID		
Direct	1,82,77,102	1,61,41,604
Add :Re-insurance accepted	-	-
Less: Commission on Re-insurance Ceded	14,49,385	12,19,800
Net Commission	1,68,27,717	1,49,21,804
Break-up of the expenses (Gross) incurred to procure Business :		
Agents	1,67,79,090	1,46,75,130
Brokers	7,72,289	9,14,549
Corporate Agency	6,92,022	5,12,161
Referral	-	-
Others	33,701	39,764
TOTAL	1,82,77,102	1,61,41,604

(Rs.'000)



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 4

OPERATING EXPENSES RELATED TO INSURANCE BUSINESS

(Rs.'000)

Particulars	For the Year Ended Mar 31, 2023	For the Year Ended Mar 31, 2022
1 Employees' remuneration & welfare benefits	1,45,36,608	1,34,35,954
2 Travel, conveyance and vehicle running expenses	3,71,835	3,05,200
3 Training expenses	72,585	47,039
4 Rents, rates & taxes	8,83,606	7,46,448
5 Repairs and Maintenance	2,87,324	2,88,132
6 Printing & Stationery	1,63,164	1,88,831
7 Communication	2,62,833	2,98,995
8 Legal & professional charges	1,61,246	1,65,689
9 Auditors' fees, expenses etc		
(a) as auditor	8,640	8,640
(b) as adviser or in any other capacity, in respect of	-	-
(i) Taxation matters	2,400	2,400
(ii) Insurance matters	-	-
(iii) Management services; and	-	-
(c) in any other capacity	1,545	1,805
(d) Out of Pocket Expenses	751	593
10 Advertisement and publicity	14,65,535	13,42,160
11 Interest & Bank Charges	3,53,732	2,63,435
12 Others		
- Director's Sitting Fees	10,300	20,700
- Software Expenses	13,79,156	7,76,894
- Outsourced Manpower Expenses	11,90,037	10,26,482
- Miscellaneous Expenses	1,15,026	1,31,149
- In House Claim Processing Cost	(12,93,912)	(11,43,258)
- Managerial remuneration	45,000	45,000
13 Depreciation	5,20,674	4,32,989
TOTAL	2,05,38,085	1,83,85,277



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 5
SHARE CAPITAL

Particulars	(Rs.'000)	
	As At March 31, 2023	As At March 31, 2022
1 Authorised Capital 80,00,00,000 (For Mar 22 - 80,00,00,000) Equity Shares of Rs10/- each	80,00,000	80,00,000
2 Issued Capital 58,16,77,348 (For Mar 22 - 57,55,22,174) Equity Shares of Rs10/- each	58,16,773	57,55,222
3 Subscribed Capital 58,16,77,348 (For Mar 22 - 57,55,22,174) Equity Shares of Rs10/- each	58,16,773	57,55,222
4 Called-up / paid up Capital 58,16,77,348 (For Mar 22 - 57,55,22,174) Equity Shares of Rs10/- each (Out of above 5,714,199 (previous period 5,714,199) equity shares of Rs.10/- each issued for consideration other than cash.) Less : Calls unpaid Underwriting or subscription of shares	58,16,773 - -	57,55,222 - -
TOTAL	58,16,773	57,55,222

SCHEDULE - 5A

SHARE CAPITAL

PATTERN OF SHAREHOLDING

[As certified by the Management]

Shareholder	As At March 31, 2023		As At March 31, 2022	
	Number of Shares	% of Holding	Number of Shares	% of Holding
Promoters				
Indian	31,99,22,521	55.00%	31,99,22,521	55.59%
Foreign	-	0.00%	-	0.00%
Others				
Indian	5,61,75,840	9.66%	5,30,59,283	9.22%
Foreign	20,55,78,987	35.34%	20,25,40,370	35.19%
TOTAL	58,16,77,348	100.00%	57,55,22,174	100.00%



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 6 RESERVES AND SURPLUS

		(Rs.'000)	
Particulars		As At March 31, 2023	As At March 31, 2022
1	Capital Reserve	-	-
2	Capital Redemption Reserve	-	-
3	Share Premium at the beginning of the year	5,70,30,594	3,66,07,852
	Add: Share premium due to issue of share capital	27,71,427	2,06,73,780
	Less: Utilized for share issue expenses	(1,356)	(2,51,038)
	Share premium at the end of the Quarter	5,98,00,665	5,70,30,594
4	General Reserves	-	-
	Less: Debit balance in Profit and Loss Account	-	-
	Less: Amount utilized for Buy-back	-	-
5	Catastrophe Reserve	-	-
6	Other Reserves	-	-
	Debenture Redemption Reserve at the beginning of the yea	1,50,000	1,50,000
	Add: Debenture redemption reserve created	-	-
	Less: Debenture redemption reserve reversed	(1,50,000)	-
	Debenture redemption reserve at the end of the quarter	-	1,50,000
	(Refer note 5.2.10 of Schedule 16)	-	-
6	Employee Stock Option Outstanding	37,996	7,56,793
7	Balance of Profit in Profit & Loss Account	-	-
	TOTAL	5,98,38,661	5,79,37,387



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 7 BORROWINGS

(Rs.'000)		
Particulars	As At March 31, 2023	As At March 31, 2022
1 Debentures/ Bonds	47,00,000	72,00,000
2 Banks	-	-
3 Financial Institutions	-	-
4 Others (to be specified)	-	-
TOTAL	47,00,000	72,00,000



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

**Schedule -8 - SHAREHOLDERS
INVESTMENTS**

		(Rs.'000)	
	Particulars	As At March 31, 2023	As At March 31, 2022
	LONG TERM INVESTMENTS		
1	Government securities and Government guaranteed bonds including Treasury Bills	1,80,08,394	1,58,34,998
2	Other Approved Securities	1,79,03,413	1,24,94,681
3	Other Investments		
	(a) Shares	-	-
	(aa) Equity	-	-
	(bb) Preference	-	-
	(b) Mutual Funds	-	-
	(c) Investment Properties-Real Estate		
	(aa) REIT	4,63,224	5,14,429
	(d) Alternative Investment Funds	92,809	-
4	Investments in Infrastructure and Social Sector	73,31,023	62,90,100
5	Other than Approved Investments	13,59,941	20,79,578
	SHORT TERM INVESTMENTS		
6	Government securities and Government guaranteed bonds including Treasury Bills	9,06,145	12,45,447
7	Other Approved Securities	7,95,993	6,42,378
8	Other Investments		
	(a) Shares		
	(aa) Equity	-	-
	(b) Mutual Funds	31,09,402	22,72,119
	(c) Derivative Instruments	-	-
	(d) Debentures/ Bonds	-	-
	(e) Other Securities (Triparty Repo)	28,13,174	27,66,169
9	Investments in Infrastructure and Social Sector	6,75,125	7,98,891
10	Other than Approved Investments	-	-
	TOTAL	5,34,58,643	4,49,38,790
	Aggregate Market Value of Quoted Investments other than equity shares, mutual funds, ETFs and investment properties	4,85,98,350	4,19,52,146
	Aggregate Book Value of Quoted Investments other than equity shares, mutual funds, ETFs and investment properties	4,97,82,233	4,20,38,848
	(REIT's)/Infrastructure Investment Trusts (InvITs) valued on Fair Value basis	5,27,227	5,32,850
	Historical cost of Mutual Funds valued on Fair Value basis	8,84,135	22,61,656
	Historical cost of ETF (included in Other than Approved Investments) valued on Fair Value basis	21,71,852	-



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

Schedule -8A - POLICYHOLDERS

INVESTMENTS

(Rs.'000)

Particulars	As At March 31, 2023	As At March 31, 2022
LONG TERM INVESTMENTS		
1 Government securities and Government guaranteed bonds including Treasury Bills	2,71,05,031	2,42,41,346
2 Other Approved Securities	2,69,47,021	1,91,27,749
3 Other Investments		
(a) Shares	-	-
(aa) Equity	-	-
(bb) Preference	-	-
(b) Mutual Funds	-	-
(c) Investment Properties-Real Estate		
(aa) REIT	6,97,214	7,87,524
(d) Alternative Investment Funds	1,39,691	-
4 Investments in Infrastructure and Social Sector	1,10,34,166	96,29,335
5 Other than Approved Investments	20,46,893	31,83,566
SHORT TERM INVESTMENTS		
6 Government securities and Government guaranteed bonds including Treasury Bills	13,63,869	19,06,619
7 Other Approved Securities	11,98,076	9,83,398
8 Other Investments		
(a) Shares		
(aa) Equity	-	-
(b) Mutual Funds	46,80,064	34,78,323
(c) Derivative Instruments	-	-
(d) Debentures / Bonds	-	-
(e) Other Securities (Triparty Repo)	42,34,202	42,34,650
9 Investments in Infrastructure and Social Sector	10,16,153	12,22,999
10 Other than Approved Investments	-	-
TOTAL	8,04,62,380	6,87,95,509
Aggregate Market Value of Quoted Investments other than equity shares, mutual funds, ETFs and investment properties	7,31,46,988	6,42,23,340
Aggregate Book Value of Quoted Investments other than equity shares, mutual funds, ETFs and investment properties	7,49,28,888	6,43,56,069
Historical cost of Real Estate Investment Trusts (REIT's)/Infrastructure Investment Trusts (InvITs) valued on Fair Value basis	7,93,547	8,15,724
Historical cost of Investment property valued on Fair Value basis	13,30,741	34,62,304
Historical cost of ETF (included in Other than Approved Investments) valued on Fair Value basis	32,68,927	-



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 9 LOANS

(Rs.'000)

Particulars	As At March 31, 2023	As At March 31, 2022
1 SECURITY-WISE CLASSIFICATION		
Secured		
(a) On mortgage of property	-	-
(aa) In India	-	-
(bb) Outside India	-	-
(b) On Shares, Bonds, Govt. Securities	-	-
(c) Others (to be specified)	-	-
Unsecured	-	-
TOTAL	-	-
2 BORROWER-WISE CLASSIFICATION		
(a) Central and State Governments	-	-
(b) Banks and Financial Institutions	-	-
(c) Subsidiaries	-	-
(d) Industrial Undertakings	-	-
(e) Others (Inter Corporate Deposit)	-	-
TOTAL	-	-
3 PERFORMANCE-WISE CLASSIFICATION		
(a) Loans classified as standard	-	-
(aa) In India	-	-
(bb) Outside India	-	-
(b) Non-performing loans less provisions	-	-
(aa) In India	-	-
(bb) Outside India	-	-
TOTAL	-	-
4 MATURITY-WISE CLASSIFICATION		
(a) Short Term	-	-
(b) Long Term	-	-
TOTAL	-	-



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS
SCHEDULE - 10
FIXED ASSETS

	Particulars	Cost / Gross Block					Depreciation			Net Assets As On 31.03.2023	Net Assets As On 31.03.2022
		Opening As On 01.04.2022	Additions	Deductions / Adjustments	Closing As On 31.03.2023	Opening As On 01.04.2022	For The Period	On Sales/ Adjustments	Closing As On 31.03.2023		
1	Goodwill	-	-	-	-	-	-	-	-	-	-
2	Intangibles - IT Software	20,75,654	2,20,652	-	22,96,306	15,46,224	3,22,793	-	18,69,017	4,27,289	5,29,430
3	Land - Freehold	11,600	-	-	11,600	-	-	-	-	11,600	11,600
4	Leasehold Property	-	-	-	-	-	-	-	-	-	-
5	Buildings	65,170	-	-	65,170	3,124	1,031	-	4,155	61,015	62,047
6	Furniture & Fittings	2,63,192	27,673	10,360	2,80,505	1,33,599	27,091	8,593	1,52,097	1,28,408	1,29,593
7	Information Technology Equipment	10,10,159	1,30,701	10,055	11,30,805	7,37,473	1,31,575	9,561	8,59,487	2,71,318	2,72,686
8	Vehicles	38,554	-	-	38,554	17,144	4,383	-	21,527	17,027	21,410
9	Office Equipment	2,50,807	27,637	7,966	2,70,478	1,46,490	33,776	7,051	1,73,215	97,263	1,04,317
10	Others	-	-	-	-	-	-	-	-	-	-
11	Temporary Construction	2,647	-	-	2,647	2,459	25	-	2,484	163	188
	Total	37,17,783	4,06,663	28,381	40,96,065	25,86,513	5,20,674	25,205	30,81,982	10,14,083	11,31,271
12	Capital work in progress	40,017	1,00,961	41,706	99,272	-	-	-	-	99,272	40,017
	Grand Total	37,57,800	5,07,624	70,087	41,95,337	25,86,513	5,20,674	25,205	30,81,982	11,13,355	11,71,288

(Rs.'000)



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE- 11

CASH AND BANK BALANCES

		(Rs.'000)	
Particulars		As At March 31, 2023	As At March 31, 2022
1	Cash (including cheques, drafts and stamps)	6,64,833	10,38,010
2	Bank Balances		
	(a) Deposit Accounts		
	(aa) Short-term (due within 12 months)	2,10,000	18,58,600
	(bb) Others	-	-
	(b) Current Accounts	22,18,734	27,38,828
	(c) Others (to be specified)	-	-
3	Money at Call and Short Notice		
	(a) With Banks	-	-
	(b) With other Institutions	-	-
4	Others	-	-
	TOTAL	30,93,567	56,35,438



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 12

ADVANCES AND OTHER ASSETS

(Rs.'000)

Particulars	As At March 31, 2023	As At March 31, 2022
A ADVANCES		
1 Reserve deposits with ceding companies	-	-
2 Application money for investments	-	-
3 Prepayments	2,98,201	2,37,623
4 Advances to Directors/Officers	-	-
5 Advance tax paid and taxes deducted at source (net of provision for tax)	2,85,097	4,15,526
6 Others	-	-
Travel Advance	-	-
Rental Advance	3,99,823	3,54,034
Less: a) Provision for Doubtful Debts	(1,408)	(1,224)
Telephone Deposit	230	229
Staff Advance	1,80,162	1,61,798
Other Advances	73,529	42,430
Less: b) Provision for Doubtful Debts	(834)	-
Security Deposits	1,45,708	1,77,045
Postal Deposits	8,288	8,923
Advances - Deposit with Statutory Authorities	1,24,898	20,657
TOTAL (A)	15,13,694	14,17,041
B OTHER ASSETS		
1 Income accrued on investments	30,76,736	27,82,066
2 Outstanding Premiums	35,08,759	23,46,510
Less: c) Provision for Doubtful Debts	(3,09,435)	(3,09,435)
3 Agents' Balances - recoverable	27,633	25,245
Less: d) Provision for Doubtful Debts	(11,717)	(8,003)
4 Due from other entities carrying on insurance business (including reinsurers)	31,542	31,780
Less: e) Provision for Doubtful Debts	(31,513)	(29,578)
5 Due from subsidiaries/ holding	-	-
6 Others		
GST Input Credit	65,038	58,679
GST Refund	1,31,337	1,31,337
Income Tax Refund Receivable	1,62,067	1,62,067
Fixed Deposit for Unclaimed amount of Policy Holders	2,73,751	2,18,396
Fixed Deposit Interest accrued on unclaimed amount of policyholders	6,145	4,335
Other Receivables	6,174	20,760
Less: f) Provision for Doubtful Debts	(6,154)	(18,766)
TOTAL (B)	69,30,363	54,15,393
TOTAL (A+B)	84,44,057	68,32,434



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE – 13

CURRENT LIABILITIES

(Rs.'000)

Particulars	As At March 31, 2023	As At March 31, 2022
1 Agents' Balances	10,39,276	8,91,965
2 Balances due to other insurance companies	7,23,272	7,76,256
3 Deposits held on re-insurance ceded	-	-
4 Premiums received in advance	5,52,148	4,79,706
5 Unallocated Premium	9,07,309	6,80,237
6 Sundry creditors	33,24,116	29,49,977
7 Due to subsidiaries/ holding company	-	-
8 Claims Outstanding	84,22,904	94,00,560
9 Due to Officers/ Directors	-	-
10 Unclaimed Amount of policyholders	2,72,102	2,17,483
11 Others		
- Interest on Non Convertible Debentures	2,01,322	4,14,537
- Statutory dues payable	44,46,880	34,33,909
- Payable to employees	4,04,090	3,14,278
- Other payables	7,391	52,584
TOTAL	2,03,00,810	1,96,11,492



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 14 PROVISIONS

(Rs.'000)

Particulars	As At March 31, 2023	As At March 31, 2022
1 Reserve for Unexpired Risk	7,23,09,063	6,17,28,594
2 For taxation (net of Advance Tax paid)	-	-
3 For proposed dividends	-	-
4 For dividend distribution tax	-	-
5 Others	-	-
- Provision for Gratuity	1,03,660	28,391
- Provision for Goodwill Gesture Scheme	2,74,687	2,64,678
TOTAL	7,26,87,410	6,20,21,663



SCHEDULES FORMING PART OF FINANCIAL STATEMENTS

SCHEDULE - 15

MISCELLANEOUS EXPENDITURE

(To the extent not written off or adjusted)

(Rs.'000)

Particulars	As At	As At
	March 31, 2023	March 31, 2022
1 Discount Allowed in issue of shares/ debentures	-	-
2 Others	-	-
TOTAL	-	-





Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

SCHEDULE 16

SIGNIFICANT ACCOUNTING POLICIES AND NOTES FORMING PART OF THE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2023

1. BACKGROUND

Star Health and Allied Insurance Co. Ltd ("The Company") was incorporated on 17th June, 2005, under the Companies Act, 1956.

The Company obtained Regulatory approval to undertake Health Insurance business on March 16, 2006 from the Insurance Regulatory and Development Authority of India ('IRDAI') and holds a valid certificate of registration. The company commenced its operations on March 16, 2006.

The equity shares of the Company are listed on National Stock Exchange of India Limited (NSE) and BSE Limited (BSE) w.e.f. December 10, 2021.

2. Basis of preparation of financial statements

The financial statements have been prepared and presented on a going concern basis, under the historical cost convention, unless otherwise specifically stated, on the accrual basis of accounting and in accordance with the applicable provisions of the Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditor's Report of Insurance Companies) Regulations, 2002 ('the Regulations'), the Insurance Act, 1938, as amended by Insurance Laws (Amendment) Act, 2015 (to the extent notified), Insurance Regulatory and Development Authority Act, 1999, and orders/directions, circulars/notifications and guidelines issued by IRDAI in this behalf from time to time, and comply with the applicable Accounting Standards (AS) specified under Section 133 of the Companies Act, 2013 (the "Act"), read with Companies (Accounting Standards) Rules 2021, as amended, to the extent applicable and the relevant provisions of the Companies Act, 2013 and in the manner so required and Generally Accepted Accounting Principles followed in India and current practices prevailing within the insurance industry in India. Accounting policies have been consistently applied to the extent applicable and in case of any change, the same is disclosed appropriately in the manner so required.

The Financial Statements are presented in Indian Rupees rounded off to the nearest Thousand.

3. Use of Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amount of assets and liabilities as of the Balance sheet date, reported amount of revenues and expenses for the period and disclosure of contingent liabilities as of the balance sheet date. The estimates and assumptions used in these financial statements are based upon management's evaluation of the relevant facts and circumstances as on the date of the financial statements. Actual results may differ from those estimates. Any revision to an accounting estimate is recognized prospectively in current and future periods.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

4. SIGNIFICANT ACCOUNTING POLICIES**4.1. Revenue****Premium**

Premium (net of Goods and Services Tax) is recognized as income over the contract period or period of risk, on the commencement of risk after adjusting for unearned premium (unexpired risk). Any subsequent revisions to or cancellations of premium as and when they occur are accounted for in the period in which they occur. The premium on insurance policies on instalment basis is recognised upfront on commencement of the risk.

Income from reinsurance business

Commission on reinsurance ceded is recognised as income in the period of ceding the risk.

Profit commission under reinsurance treaties, wherever applicable, is recognized in the 'year of determination of the profits as per the terms of reinsurance treaty.

Investment Income

Interest income on investment is recognized on accrual basis. Accretion of discount and amortisation of premium relating to debt securities is recognised over the holding/maturity period on a straight line basis.

Dividend income is recognized when the right to receive dividend is established.

Realised gain/loss on securities, which is the difference between the sale consideration and the carrying value in the books of the Company, is recognised on the trade date. In determining the realised gain/loss, cost of securities is arrived at on 'Weighted average cost' basis. Further, in case of listed equity shares, Exchange Traded Funds (ETFs), Real Estate Investment Trusts (REIT's), Infrastructure Investment Trusts (InvITs) and mutual fund units, the profit or loss on sale also includes the accumulated changes in the fair value previously recognised in the "Fair Value Change Account".

Sale consideration for the purpose of realised gain/loss is net of brokerage and taxes, if any, and excludes interest received on sale.

4.2 Unearned premium reserve

Unearned premium reserve (UPR) is the amount representing the premium written (net of reinsurance ceded) which is attributable to and is to be allocated to the succeeding accounting periods. UPR has been calculated on "Day Basis" (1/365th method) in terms of IRDAI Circular No. IRDA/F&A/CIR/FA/126/07/2013 dated July 3, 2013 on the Net Written Premium on all unexpired policies on the Balance Sheet date.

4.3 Premium received in advance

This represents premium received during the period, where the risk commences subsequent to the balance sheet date.

4.4. Reinsurance premium

Reinsurance premium on ceding of risk is accounted in the period in which the risk commences and is recognized over the contract period or the period of risk, as per the treaty arrangements. Any subsequent revision to or cancellation of premium is recognized in the period in which they occur.

Premium on excess of loss reinsurance cover is accounted as premium ceded as per the reinsurance arrangements.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

4.5. Acquisition cost

Acquisition costs are those costs that vary with, and are primarily related to acquisition of insurance contracts. Acquisition cost is charged off in the period of Commencement of risk.

4.6. Claims

Claims incurred represents (i) claims paid, (ii) estimated liability for outstanding claims made following a loss occurrence reported and (iii) estimated liability for claims incurred but not reported (IBNR) and claims incurred but not enough reported (IBNER). Further, it also includes legal and investigation fees and in House claims processing expenditure estimated at 1 % of Gross Premium pertaining to Health & Personal Accident (Retail & Group) Segment based on management estimate.

Claims (net of amounts receivable from reinsurers/co-insurers) are recognised on the date of intimation/ on the date of receipt of documents, based on internal management estimates or on estimates from insured/Third Party Administrator [TPA] in the Revenue account.

Estimated liability for outstanding claims is provided net of claims recoverable from reinsurance/co-insurers on the basis of claims reported.

Estimated liability for outstanding claims is determined by the management on the basis of ultimate amounts likely to be paid on each claim based on the past experience and in cases where claim payment period exceeds four years based on actuarial valuation. These estimates are progressively re-validated on availability of further information.

IBNR and IBNER represent that amount of claims that may have been incurred during the accounting period but have not been reported / not enough reported. The provision for IBNR and IBNER is based on actuarial estimate duly certified by the Appointed Actuary of the Company.

4.7 Premium Deficiency

Premium deficiency is recognized whenever expected claims cost, related expenses and maintenance cost (related to claims handling) exceed related reserve for unexpired risks. The premium deficiency is calculated and duly certified by the Appointed Actuary.

4.8 Investments

Investments are made, accounted and classified in accordance with the Insurance Act, 1938, Insurance Laws (Amendment) Act, 2015 as amended, Insurance Regulatory and Development Authority of India (Investment) Regulations, 2016 as amended and various other circulars/notifications issued by the IRDAI in this context from time to time.

Investments are recorded at cost on trade date including acquisition charges (such as brokerage, transfer stamps etc.), if any, and exclude interest accrued up to the date of purchase.

(A) Classification

- Investments maturing within twelve months from balance sheet date and investments intended to be held for a period of less than twelve months from the balance sheet date are classified as 'Short term investments'.
- Other investments are classified as 'Long term investments'.

Investments are earmarked, separately to policyholder's or shareholder's, as applicable; Investments other than earmarked are segregated at Shareholder's level and Policyholder's level notionally based on policyholder's funds and shareholder's funds as of quarter /half year/year end, as prescribed by IRDAI.





Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

(B) Valuation

Debt Securities

All debt securities including government securities, Additional Tier I Bonds and non-convertible preference shares are considered as 'held to maturity' and accordingly stated at historical cost, adjusted for accretion of discount and amortization of premium which is recognized on a straight line basis over the holding or maturity period.

Equity shares / ETF's / REiTs / INVIT / AIF

Listed equity shares, Equity Exchange traded Funds (ETF's), Real Estate Investment Trust (REiTs) Infrastructure Investments Trust (INVIT), are stated at fair value, being the last quoted closing price on the National Stock Exchange, being selected by the Company as Primary Exchange as required by IRDAI and in case these are not listed on National Stock Exchange, then based on the last quoted closing price on the Bombay Stock Exchange.

Investment in units of REiTs and INVIT are valued at market value as per the last quoted price in National stock exchange. Where the market quote is not available in the last 30 days, the units shall be valued as per the latest Net Asset Value (NAV) of the units, not more than 6 months old, as published by the trust.

Triparty Repo Dealing and settlements (TREPs):

TREPs are 'held-to-maturity' and are measured at cost, adjusted for accretion of discount which is recognized on a straight-line basis over the holding or maturity period.

Mutual Funds

All mutual fund investments are stated at fair value and valued at closing Net Asset Value at the balance sheet date.

Fair Value Change Account

In accordance with the Regulations, unrealised gain/loss arising due to changes in fair value of listed equity shares, Units of ETF's / REiTs / INVIT and Mutual fund investments are taken to the "Fair Value Change Account" in the Balance Sheet and not available for distribution, pending realisation

Fair value of investments is computed for quoted investments on the basis of the last available market price/NAV.

Impairment of Investments

The Company assesses at each balance sheet date whether any impairment has occurred in respect of investment in equity shares, units of mutual fund, investment in venture fund/alternative investment fund (AIF), units of REiTs and units of INVIT. The impairment loss, other than considered temporary, if any, is recognised in the profit and loss account and the carrying value of such investment is reduced to its recoverable value. If on the assessment at balance sheet date, a previously impaired loss no longer exists, then such loss is reversed to the profit & loss account and the investment is restated to that extent. The previously impaired loss is also reversed on disposal/realisation of securities and results thereon are recognised.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

4.9 Fixed Assets, Intangibles and Impairments
Fixed assets and depreciation

Fixed assets are stated at cost less accumulated depreciation. Cost includes purchase price, taxes (other than those recoverable from tax authorities) and any cost directly attributable to bringing the asset to its working condition for its intended use.

Depreciation on fixed assets is provided on a straight-line method using the rates based on the economic useful life as prescribed in the Schedule II to the Companies Act, 2013/estimated by the management as below:

Nature of Fixed assets	Management estimate of Useful Life in years	Useful life as per Schedule II of the Companies Act, 2013 in Years
Land – Freehold	-	-
Buildings	60	60
Furniture & Fittings	10	10
Information Technology Equipment		
- Servers & Network	5	6
- Other	3	3
Vehicles	8 to 10	8 to 10
Office Equipment	5	5

In the case of Information Technology Equipments (networking) the management estimate of the useful life is 5 years, based on the internal technical evaluations, which is lower than that prescribed in Schedule II of the Companies Act, 2013.

Depreciation on assets purchased/disposed off during the year is provided on pro-rata basis with reference to the date of purchase/disposal.

All assets including intangibles individually costing less than Rs. 5000/- are fully depreciated/amortized in the year in which it is acquired.

Management reviews its estimate of useful life at each Balance sheet date.

Intangibles assets

Intangibles assets representing computer software are stated at cost less amortization. Computer software including improvements capitalised is amortized over a period of 3 years on pro-rata basis with reference to the date of purchase/discard, being the management's estimate of the useful life of such intangibles.

Capital work in progress

Capital work in progress includes assets not ready for the intended use and are carried at cost, comprising direct cost and related incidental expenses.

Impairment of Assets

The company assess at each balance sheet date whether there is any indication that any asset may be impaired. If any such indication exists, the carrying value of such asset is reduced to its recoverable amount and the impairment loss is recognized in the Profit & Loss Account. If at the balance sheet date

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

there is any indication that a previously assessed impairment loss no longer exists, then such loss is reversed and the asset is restated to that extent. The recoverable amount is higher of the net selling price of the assets and their value in use.

4.10 Earnings per share

Basic earnings per share are calculated by dividing the net profit or loss after tax for the period available to equity shareholders by the weighted average number of equity shares outstanding during the reporting period.

Number of equity shares used in computing diluted earnings per share comprises the weighted average number of shares considered for basic earnings per share and also weighted average number equity shares which would have been issued on conversion of all dilutive potential shares. In computing diluted earnings per share only potential equity shares that are dilutive are considered.

4.11 Operating Lease

Payments made towards assets/premises taken on operating lease are recognised as an expense in the revenue account. Initial direct costs incurred specifically for an operating lease are charged to the revenue account and profit and loss account.

4.12 Employee Benefits**Short term employee benefits**

Employee benefits payable wholly within twelve months of rendering the service are classified as short term employee benefits and are recognized in the period in which the employee renders the related service. These benefits include salaries, bonus and compensated absences. All short term employee benefits are accounted on undiscounted basis.

Marketing Cost in excess of incentive payable is recovered in the subsequent period if incentive payable arises.

Long term employee benefits**Provident fund**

This is a defined contribution scheme and contributions are made to the respective authorities at the prescribed rates and charged to Miscellaneous Revenue account and Profit & Loss account.

Gratuity

Defined Benefit Plan – Retirement gratuity liability is funded with an Insurance Company through contributions to an approved gratuity trust. Gratuity is provided on the basis of actuarial valuation including actuarial gains/losses at balance sheet date and is recognised in the revenue account and profit and loss account. The actuarial valuation has been carried out using the Projected Unit Credit Method.

Other long term employee benefits - Goodwill Gesture

The company has defined benefit plan for eligible employees as per the Goodwill Gesture scheme. The eligible employees will be entitled to a lump sum payment, on the basis of last drawn salary, which will be paid during the period of employment and on retirement. The liability towards the same is valued based on actuarial valuation determined using the projected unit credit method.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Others

The Company pays a fixed amount of benefit on the death of an employee in service, based on the designation of the employee. Since the level of benefit is uniform for all employees regardless of years of service, the cost of benefit is recognised when the event occurs.

Employee Stock Option Plan ("ESOP")

The Company follows the intrinsic method for computing the compensation cost, for options granted under the scheme(s). The difference if any, between the intrinsic value being the fair market price and the grant price, is the compensation cost which is amortised over the vesting period of the options.

In case of ESOP issued prior to listing, The fair market price is the Fair value determined by Independent Valuer or Initial Public offer (IPO) issue price ; in case of ESOP issued post listing, the fair market price is the latest closing price on the stock exchange on which the shares of the company are listed, immediately prior to the grant date. If the shares are listed on more than one stock exchange, then the stock exchange where there is highest trading volume on the said date is considered.

4.13 Foreign Currency transactions

Transactions denominated in foreign currencies are recorded at the rates prevailing on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate of exchange at the year-end.

The gains/losses on account of restatement and settlement are recognised in the revenue account(s) and profit and loss account.

4.14 Taxation

Income Tax: Income tax expense comprises current tax (i.e. amount of tax payable on the taxable income for the period determined in accordance with the Income-tax Act, 1961), and deferred tax charge or credit (reflecting the tax effects of timing differences between the accounting income and taxable income for the period). Current tax is the amount expected to be paid to the tax authorities after taking credit for allowances and exemptions in accordance with the Income-tax Act, 1961. The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the Balance Sheet date.

Deferred tax assets are recognised only to the extent there is reasonable certainty that the assets can be realised in future. However, where there is unabsorbed depreciation or carried forward loss under taxation laws, deferred tax assets are recognised only to the extent there is virtual certainty backed by convincing evidence that sufficient future taxable income will be available against which deferred tax assets can be realised. Deferred tax assets are reviewed as at each Balance Sheet date and written down or written up to reflect the amount that is reasonably or virtually certain to be realised.

Goods And Service Tax (GST): GST collected is considered as a liability against which GST paid for eligible input tax credit, to the extent claimable, is adjusted and the net liability is remitted to the appropriate authority. GST paid for eligible input services not recoverable by way of credits is recognized in the Revenue Account as expenses.

4.15 Share issue expenses

Share issue expenses are adjusted against share premium account.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

4.16 Provisions and Contingent Liabilities and Contingent Assets

In accordance with Accounting Standard 29 – Provisions, Contingent Liabilities and Contingent Assets prescribed by Companies (Accounting Standard) Rules 2021, to the extent applicable to the company, provisions are created in respect of obligations as a result of past events and it is probable that an outflow of resources will be required to settle the obligations, in respect of which a reliable estimate can be made. Provisions are not discounted to their present value and are determined based on management estimate required to settle the obligation at the Balance Sheet date. These will be reviewed at each Balance Sheet date and adjusted to reflect the current management estimates.

Contingent losses arising from claims other than insurance claims, litigation, assessment, fines, penalties, etc. are recorded when it is probable that a liability has been incurred and the amount can be reasonably estimated.

A disclosure for a contingent liability other than those under policies is made when there is a possible obligation or a present obligation that may, but probably will not require an outflow of resources.

Show Cause Notices issued by various Government Authorities are not considered as Obligation. When the demand notices are raised against such show cause notices and are disputed by the Company, these are classified as disputed obligations under contingent liability

Contingent Assets are neither recognised nor disclosed in the Financial Statements.

4.17 Borrowing Cost:

Borrowing costs are charged to Profit and Loss Account in the period in which they are incurred.

4.18 Receipts and Payments Account (Cash flow statement):

(i) Receipts and Payments Account is prepared and reported using the Direct Method, in conformity with Para 2.2 of the Master Circular on Preparation of Financial Statements - General Insurance Business dated October 5, 2012, issued by the IRDAI.

(ii) Cash and cash equivalents comprises cash on hand and demand deposits with Banks. Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

4.19 Transfer of amounts to Senior Citizen Welfare Fund

In accordance with the requirement of the Notification no G.S.R 380(E), issued by the Ministry of Finance, dated April 11, 2017 read with IRDAI Circular No. IRDA/F&A/CIR/MISC/173/07/2017 dated July 25, 2017 the Company transfers amounts outstanding for a period of more than 10 years in Unclaimed Amount of Policyholders to the Senior Citizen Welfare Fund (SCWF) on or before March 1st of each financial year



**Notes to Financial Statements for the year ended 31 March 2023**

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5. NOTES TO ACCOUNTS:**5.1 Statutory disclosures as required by IRDAI****5.1.1 Contingent Liabilities**

Particulars	As at March 31, 2023	As at March 31, 2022
Partly paid investments	NIL	NIL
Underwriting commitments outstanding	NIL	NIL
Claims, other than those under policies, not acknowledged as debt	NIL	NIL
Guarantees given by or on behalf of the Company	NIL	6,95,000
Statutory demands/liabilities in dispute, not provided for	2,75,131	39,522
Reinsurance obligations to the extent not provided for in accounts	NIL	NIL

Income Tax:

A. The Company had challenged, by way of Writ Petitions before the Hon'ble High Court of Madras, the Income Tax Assessment Orders for Assessment Years 2009-10, 2010-11 and 2011-12 with demands aggregating to Rs. 6,26,758 thousand (Year Ended Mar 31, 2021: Rs. 6,26,758 thousands) on account of applying the provisions of Sec 115 JB of Income Tax Act, 1961. The Hon'ble High Court of Madras, accepting the pleas of the Company set aside the impugned orders with the directions that the Income tax department could pass appropriate orders after the Hon'ble Supreme Court gives its direction on the Special Leave petition pending with the Hon'ble Supreme court. The company has received an order from the Joint Commissioner of Income tax (OSD) on 16.08.2021 for the Assessment Year 2009-2010, granting a refund of Rs. 2,22,411 thousand. As per above mentioned order the company is not liable to pay tax under provision of section 115JB and Income tax demand of Rs. 2,45,820 thousand is nullified. The company has already received a sum of Rs. 78,097 thousand out of Rs 2,22,411 thousands refund sanctioned as per order and is taking steps to obtain the balance due. As there are no subsisting demands as on date, no provision is considered necessary in the books.

The principal commissioner of income tax, Chennai has initiated the revision proceedings under section 263 of the Income tax Act. The department has mentioned that the order passed by Joint commissioner of income tax (OSD) dated 16.08.2021 is erroneous and not in line the high court judgement. The Company has filed writ appeal on 12th April 23.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Assessment Year	Amount (Rs.'000)
2009-10	2,45,820
2010-11	1,33,724
2011-12	2,47,214
Total	6,26,758

B. The Company has received an order dated December 27, 2019 for the Assessment year 2014 – 15 from the Office of Assistant Commissioner of Income tax raising a demand of Rs. 4,24,355 thousand towards Income tax and Interest payable towards amount of unexpired risk reserve not being appropriated in the Profit and Loss account. The Company has challenged the order before Commissioner of income tax (Appeals), while having taken a stay for the demand from Hon'ble High Court of Madras subject to payment of 10% tax amounting to Rs. 25,110 thousand. In the opinion of the company, both on law and facts, the said demands are not sustainable and hence no provision is considered necessary in the books.

C. The Company filed its return of income on 4th March 2022 for Assessment Year 2021-22 opting for benefit of lower tax rate at 22% under section 115BAA of the Income Tax Act. In the income tax return the option for claiming the lower rate was opted by the company. However as per section 115BAA, there is a requirement to file Form 10-IC for claiming the lower tax benefit, which was inadvertently not filed. The department processed company's return with the normal rate of tax at 34.94% which resulted in a higher tax liability and short refund to the extent of Rs 2,35,609 Thousands. The company had filed with CBDT, the application under section 119(2)(b) of Income Tax Act, for Condonation of delay in filing of Form 10-IC. The company has also filed an appeal with Commissioner of Income tax (Appeals) on 1st October, 2022 against the intimation order rejecting the option for lower rate of tax.

Goods and Service Tax (GST):

D. The Company received on 23rd March 2022, GST Audit Report from Uttar Pradesh GST department for the financial year 2017-2018 on 23rd March 2022 and intimated liability of Rs. 39,122 thousand along with Interest and penalty for excess input availed and short payment of output tax liability by the company. The department had issued demand order on suo moto basis without giving opportunity to be heard to company. The company has submitted a detailed reply to the Joint commissioner audit stating that there is no excess input availed and there is no short payment of tax. In the view of the Company, as advised by the counsel, the decision is expected to be in favor of the Company.

E. The Company paid Rs. 80,000 thousand under protest pursuant to GST proceedings on account of alleged ineligible input tax credit claim during the period July 2017 to March 2022. The Company has been advised that it would not be liable to pay the said amounts. Accordingly, the Company has treated the amount



**Notes to Financial Statements for the year ended 31 March 2023**

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

already paid as deposit under "Advances and Other Assets" as at March 31, 2023. On April 06, 2023 the company has received intimation of liability under section 74(5) amounting to Rs. 2,39,943 thousands. The Company has responded to this intimation on April 15, 2023.

Show Cause Notice:

The Payment of Bonus Act was amended with retrospective effect and resulted in increasing the bonus liabilities. The Company is of the view that retrospective payment of Bonus is not appropriate and accordingly for bonus computation such retrospective amendment has not been taken in consideration. The additional liability on account of retrospective amendment is Rs. 14,831 thousands (Year Ended Mar 31, 2022: Rs. 14,831 thousands). The retrospective amendment is being challenged by various parties in the High Court and based on the final outcome on determination of the court cases would be accounted for on that date.

- 5.1.2** The assets of the Company are free from all encumbrances except for deposits of Rs. 44,898 thousand (Year Ended Mar 31, 2022: Rs. 20,657 thousands) with the courts against disputed claims. Pending disposal of the case, in the opinion of the Company the said amount is considered good and recoverable.

5.1.3 Commitment made for Investment, Loans and Fixed Asset

Particulars	Amount - Rs	
	As at March 31, 2023	As at March 31, 2022
Commitments made and outstanding for loans and investments	5,17,500	NIL
Estimated Amount of contracts remaining to be executed on capital account and not provided for (net of advances)	3,24,526	2,41,430

5.1.4 Claims

Claims paid to claimants in/outside India are as under:

Particulars	Amount - Rs.	
	Year ended March 31, 2023	Year ended March 31, 2022
In India	7,65,15,762	8,81,48,321
Outside India	4,089	7,606



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Ageing of gross claims outstanding is set out in the table below

Pending for	As at March 31, 2023		As at March 31, 2022	
	No. of Claims	Amount Rs.	No. of Claims	Amount Rs.
Less than or equal to 6 months	1,17,644	51,87,359	94,520	52,91,040
More than 6 months Less than or equal to 1 year	8,324	1,73,854	13,336	5,22,707
More than 1 year Less than or equal to 2 year	482	76,317	2,516	1,33,222
More than 2 years	363	88,974	232	1,05,723
Total	1,26,813	55,26,324	1,10,604	60,52,692

Claims outstanding data excludes IBNR. The claims were outstanding predominantly due to non-submission of essential documents by the insured/Hospitals. Claims settled and remaining unpaid for more than six months is Rs. Nil (Year Ended Mar 31, 2022 Rs. Nil).

Claims where the claim payment period exceeds four years:

As per circular F&A/CIR/017/May-04, the claims made in respect of contracts where claims payment period exceeds four years, are required to be recognised on actuarial basis. Accordingly, the Appointed Actuary has certified assuming 'NIL' discount rate.

5.1.5 Premium

All premiums, net of Re-insurance are written and received in India.

No premium income is recognized on varying risk pattern.

5.1.6 Sector wise gross written premium is as follows:

For the year ended	Sector	No. of policies	No. of Lives	GWP Rs.	%
March 31, 2023	Rural	19,09,942	52,41,489	2,63,50,098	20.34%
	Social	5,13,939	13,24,191	80,09,720	6.18%
	Others	58,12,883	1,58,27,025	9,51,64,892	73.47%
	Total	82,36,764	2,23,92,705	12,95,24,710	100%
March 31, 2022	Rural	17,21,391	46,18,372	2,13,12,387	18.59%
	Social	5,55,177	19,65,641	95,15,151	8.30%
	Others	52,97,055	1,59,86,666	8,38,07,177	73.11%
	Total	75,73,623	2,25,70,679	11,46,34,715	100%

5.1.7 Extent of Risk retained and Re-insured

Particulars	Year Ended March 31, 2023		Year Ended March 31, 2022	
	Health	PA	Health	PA
Risk Retained (%)	95.40%	76.05%	94.69%	67.86%
Risk Re-insured (%)	4.60%	23.95%	5.31%	32.14%

* Health includes Travel

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.1.8 Investments

A) Value of contracts in relation to investments for:

Particulars	Amount- Rs	
	As at March 31, 2023	As at March 31, 2022
Contracts for sale where payments are overdue	NIL	NIL
Contracts for purchases due for delivery on the balance sheet date. (since received)	NIL	NIL
Non-Performing Investment	NIL	NIL

B) Detail of investments that are valued on fair value basis is

Particulars	As at March 31, 2023		As at March 31, 2022	
	Historical Cost (Amt-Rs)	At Fair Value (Amt-Rs)	Historical Cost (Amt-Rs)	At Fair Value (Amt-Rs)
Mutual Funds (Short Term)	22,14,877	22,17,062	57,23,959	57,50,442
Real Estate Investment Trusts (REIT's)/ Infrastructure Investment Trusts (InvITs)	13,20,774	14,20,437	13,48,574	15,88,941
Exchange Traded Funds (ETFs)	54,40,779	55,72,404	-	-
Total	89,76,430	92,09,903	70,72,533	73,39,383

C) All investments are made in accordance with Insurance Act, 1938 and Insurance Regulatory and Development Authority of India (Investment) Regulations, 2016 and are performing investments.

D) Investment income has been allocated on the basis of the ratio of average policyholder's Funds to average shareholder's Funds, average being the balance at the beginning of the year and at the end of the reporting period.

E) REPO / Reverse repo / TREPS Lending / Borrowing transactions REPO / Reverse repo transaction:

Particulars	Minimum outstanding during the Year ended March 31, 2023	Maximum outstanding during the Year ended March 31, 2023	Daily average outstanding during the Year ended March 31, 2023	Outstanding as at March 31, 2023
	Amount- Rs			
<u>Securities sold under repo (At cost)</u>				
TREPS Lending	-	-	-	-
<u>Securities purchased under reverse repo (At cost)</u>				
TREPS Lending	8,71,867	89,90,000	51,00,457	70,47,376



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Particulars	Minimum outstanding during the Year ended March 31, 2022	Maximum outstanding during the Year ended March 31, 2022	Daily average outstanding during the Year ended March 31, 2022	Outstanding as at March 31, 2022
	Amount- Rs			
<u>Securities sold under repo (At cost)</u>				
TREPS Lending	-	-	-	-
<u>Securities purchased under reverse repo (At cost)</u>				
TREPS Lending	17,54,000	1,58,90,000	60,03,547	70,00,819

5.1.9 Allocation of expenses

The company has allocated expenses of management as per the policy approved by the Board of Directors. Expenses such as Commission payable to Agents, Brokerage, etc. which are based on premium procurement for different segments are directly allocated to each segment on actual incurred basis. Other Administrative expenses, net of transfer to claims cost and incentive payable to field staff which cannot be directly attributed and allocated to any segment are apportioned on the basis of Gross Premium written for each segment.

During the year, the company has transferred from Operating Expenses (Ref: Schedule 4 of the Financial Statements under "Others - In House Claims Processing Cost") to Claims cost an amount of Rs. 12,93,912 thousands (Year Ended March 31, 2022: Rs. 11,43,258 thousands) being 1% of the gross premium (excluding co-insurance inward) pertaining to Health & Personal Accident (PA) segment towards In House Claims processing expenditure based on the Insurance Regulatory and Development Authority of India (Expenses of Management of Insurers transacting General or Health Insurance business) Regulations, 2016.

5.1.10 Employee benefit plan
A) Defined Contribution Plan – Contribution to Employees Provident Fund

During the year/period, the Company has recognised below amount under defined contribution plan

Particulars (Rs '000)	Year Ended March 31, 2023 – Rs.	Year Ended March 31, 2022 – Rs.
Contribution to Employees Provident Fund	3,89,457	3,64,286

B) Defined Benefit Plan – Gratuity

The Company has a defined gratuity benefit plan payable to every employee on separation from employment. The Company makes the contribution to an approved gratuity fund which is maintained and managed by Life Insurance Corporation of India.

Reconciliation of opening and closing balance of the present value of the defined benefit obligation for gratuity benefits of the Company is given below:

Particulars Assumptions	As at March 31, 2023	As at March 31, 2022
Discount Rate	7.30%	7.10%
Salary Escalation	3.00% (for first 5 yrs) 1.50% (thereafter)	3.00% (for first 5 yrs) 1.50% (thereafter)
Attrition rate	2.00%	2.00%
Expected Return on Plan Assets	7.30%	7.10%

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Mortality Rate Table	Indian Assured Lives Mortality (2006-08)	Indian Assured Lives Mortality (2006-08)
Table showing changes in present value of obligations- LIC Fund		
Present value of obligations as at beginning of year	4,32,091	3,54,424
Interest cost	30,678	23,746
Current Service Cost	40,857	43,334
Prior service cost	-	-
Benefits Paid	(58,833)	(37,682)
Actuarial (gain) / loss on obligation	59,960	48,268
Present value of obligations as at end of year	5,04,753	4,32,091

Particulars Assumptions	As at March 31, 2023 - Rs	As at March 31, 2022 - Rs.
Table showing changes in the fair value of plan assets- LIC Fund		
Fair value of plan assets at beginning of year	4,03,700	3,66,538
Expected return on plan assets	28,663	24,558
Contributions	31,096	22,747
Transfer in/(out) Plan Assets	-	-
Expenses deducted from the fund	-	-
Benefits paid	(58,833)	(37,682)
Actuarial gain / (loss) on plan assets	(3,533)	27,538
Fair value of plan assets at the end of year	4,01,093	4,03,700
Actuarial (Gain)/Loss recognized		
Actuarial (gain) /loss on obligation	59,960	48,268
Actuarial (gain) / loss on plan assets	3,533	(27,538)
Actuarial (gain) / loss recognized in the year	63,493	20,730
Reconciliation of Present Value of the obligation and the Fair Value of the Plan Assets		
Present value of obligations as at the end of year	5,04,753	4,32,091
Fair value of plan assets as at the end of the year	4,01,093	4,03,700
Funded status	(1,03,659)	(28,391)
Net (Liability) Recognized in the Balance Sheet	(1,03,659)	(28,391)
Investment details of plan assets		
100% Insurer Managed Funds	4,01,093	4,03,700
Expenses Recognized in statement of Profit & loss		
Current Service cost	40,856	43,334
Past service cost	-	-
Interest Cost	30,678	23,746
Expected return on plan assets	(28,663)	(24,558)
Net Actuarial (gain) / loss recognized in the year	63,493	20,730
Expenses to be recognized in the profit & loss	1,06,365	63,252
Bifurcation of Current and Non Current Liability :		
Current Liability	61,115	56,714
Non-Current Liability	4,43,638	3,75,377
Fair Value of Plan Assets	4,01,093	4,03,700
Net Liability	(1,03,660)	(28,391)

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Amounts for the current and previous four periods are as follows:

Particulars (Rs)	2022-23	2021-22	2020-21	2019-20	2018-19
Defined Benefit Obligations	5,04,753	4,32,091	3,54,424	2,69,469	2,43,364
Plan Assets	4,01,093	4,03,700	3,66,538	2,74,800	2,23,533
Surplus/(Deficit)	(1,03,659)	(28,391)	12,114	5,331	(19,831)
Experience adjustments on Plan assets	3,533	(27,538)	7,867	17,429	-
Experience adjustments on Plan Liabilities	59,960	48,268	47,735	(9,598)	17,373

C) Defined Benefit Plan - Employee Goodwill Gesture scheme

The Company has introduced new other long term employee benefits - Goodwill gesture scheme payable to employee above certain grade which will enable them to draw a lump sum amount in particular time period and balance when they leave the Company at retirement. The Scheme is purely a Goodwill Gesture from the Company and it cannot be claimed as a matter of right by an employee. The Company has absolute discretion to alter, amend or withdraw the scheme at any time without notice. The Company has determined the liability on the basis of Actuarial valuation.

Basis of Valuation

Particulars	Amount (Rs)	
	As at March 31, 2023	As at March 31, 2022
Opening Balance	2,64,678	2,21,062
Addition during the period:		
Current Service Cost	11,076	17,590
Interest Cost	19,057	15,032
Actuarial Loss (Gain)	41,381	55,345
Less: Benefit Paid	(61,506)	(44,351)
Closing Balance	2,74,687	2,64,678
Assumptions		
Discount Rate	7.30%	7.20%
Salary Escalation	3.00% (for first 5 yrs) 1.50% (thereafter)	3.00% (for first 5 yrs) 1.50% (thereafter)
Attrition rate	2.00%	2.00%
Expected Return on Plan Assets	0%	0%

Valuation Liability

Particulars	Amount (Rs)	
	As at March 31, 2023	As at March 31, 2022
Current Liability	34,223	45,500
Non-Current Liability	2,40,463	2,19,178
Net Liability	2,74,687	2,64,678



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

D) Employee Stock Option plan (ESOP)

The Company has introduced Employee Stock Option plan (ESOP 2019) in the financial year 2019-20 effective from August 6, 2019(date of grant). The Company has granted Stock Options to employees in compliance with the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations 2021. The ESOP Plan 2019 was modified pursuant to the resolutions passed by the Board of Directors of the company in the meeting held on May 23, 2021, September 28, 2021 and January 25, 2022 and by the Shareholders of the Company in an extra ordinary general meeting held on July 16, 2021, October 4, 2021 and March 03, 2022. Under the ESOP 2019, the company has given options to eligible employees to acquire equity share in the Company. The options have been granted under various tranches.

During the year ended as at March 31, 2023 the company had granted 21,20,104 No. of options (Year Ended March 31, 2022: 41,39,713 Options) which will vest over a period of 5 years in the ratio 20:20:20:20:20 starting at the end of one 1 year from the date of grant.

During the financial year 2020-21, the Company has obtained approval from IRDA via Ref 75/IRDAI/HLT/A&R/SHAI and introduced Employee Stock Option plan, 2021 (ESOP 2021) from December 02, 2021 pursuant to the resolution passed by the Board of director in the meeting held on November 11, 2021 and by shareholder of the company in Extra ordinary general meeting held on November 11, 2021. Under the ESOP Plan 2021, the company had granted 25,00,000 Numbers of Option to Mr. Jaganathan, Chairman and Chief Executive Officer which will vest at the end of 1 year from the date of grant.

The Company has adopted intrinsic value method for computing the compensation cost of options granted. Where ever the exercise price is equal to the fair value of share on the date of grant, the value of options is Nil and hence no compensation cost is recognized in the books.

Out of the ESOP 2019 options issued up-to the Year ended March 31, 2023: 7,40,389 No. of Options (Net of Withdrawn Option) (Year Ended March 31, 2022: 7,95,189 Options), were issued for exercise price which is less than the fair value of the option. Therefore, the corresponding compensation cost of Rs. 12,710 thousands (Year Ended March 31, 2022: Rs 22,357 thousands) is charged to profit and loss accounts.

Out of the ESOP 2021 options issued up-to the Year ended March 31, 2023: Nil (Net of Withdrawn Option) (Year Ended March 31, 2022: 25,00,000 Options), were issued for exercise price which is less than the fair value of the option. Therefore, the corresponding compensation cost of Rs 14,93,493 thousands (Year Ended March 31, 2022: Rs 7,31,507 thousands) is charged to profit and loss accounts.

Movement in the Options under ESOP:

Particulars	As at March 31, 2023- Rs.		As at March 31, 2022 – Rs.	
	ESOP 2019	ESOP 2021	ESOP 2019	ESOP 2021
Outstanding at the beginning of the year	1,56,52,731	25,00,000	1,68,46,895	-
Add : Granted during the period	21,20,104	-	41,39,713	25,00,000
Less : Forfeited / Lapsed during the period	91,300	-	7,23,700	-
Less : Exercised during the period	36,55,174	25,00,000	46,10,177	-
Outstanding at the end of the period	1,40,62,861	-	1,56,52,731	25,00,000
Details of outstanding options at the end of the period:				
Yet to be vested at the end of the period	1,25,25,711	-	1,45,92,820	25,00,000
Yet to be exercised at the end of the period	15,37,150	-	10,59,911	-

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Fair Value method (Black Scholes method)

The fair value of options used to compute Pro-forma net profit / (loss) and the earnings per Equity Share have been estimated on the date of the grant using Black-Scholes model.

The key assumptions used in Black-Scholes model for calculating fair value as on the date of the grant are:

Sl. No.	Particulars	As at March 31, 2023		As at March 31, 2022	
		ESOP 2019	ESOP 2021	ESOP 2019	ESOP 2021
1	Annual Risk Free Interest Rate	7.32%	NA	6.79%	6.79%
2	Expected Life	5 Years	NA	5 years	1 years
3	Expected Annualized Volatility	14.35%	NA	14.35%	14.35%
4	Dividend Yield	Nil	NA	Nil	Nil
5	Weighted Avg Price of the Underlying Share at the time of Option Grant (Rs.)	589.23	NA	483.39	10.00
6	Weighted Avg Fair Value of Options Rs.)	225.21	NA	155.29	890.66

Had the compensation for the stock options granted under the scheme been determined based on fair value approach the company's net profit / (loss) and earnings per share would have been as per the Pro-forma amounts indicated herein:

Particulars	Year ended March 31, 2023-Rs.	Year ended March 31, 2022 - Rs
Net Profit /(loss) (as reported)	61,85,922	(1,04,06,686)
Add: Stock Based Employee Compensation Expenses included in Net Profit		
- ESOP Plan 2019	12,710	22,357
- ESOP Plan 2021	14,93,493	7,31,507
Less: Stock Based Employee Compensation Determined under Fair Value based Method (Pro-forma)		
- ESOP Plan 2019	(1,29,348)	(3,82,800)
- ESOP Plan 2021	-	(7,32,046)
Net Profit/(loss) (pro-forma)	75,62,777	(1,07,67,668)
Basic Earnings per Share of Rs. 10 each (as reported) (Rs.)	10.70	(18.65)
Basic Earnings per Share of Rs. 10 each (Pro-forma) (Rs.)	13.55	(19.3)

5.1.11 Remuneration to Managerial and Key Management Persons

A. The details of remuneration of CEO & two MD's as per the terms of appointment are as under:

Remuneration paid to	Designation	Year ended March 31, 2023 -Rs	Year ended March 31, 2022 -Rs
Mr. V.Jagannathan	Chairman & CEO	15,19,122	7,56,945
Dr. S. Prakash	Managing Director	71,192	66,165
Mr. Anand Roy	Managing Director	70,900	66,086
Total		16,61,214	8,89,196

The managerial remuneration to Managing Directors includes Rs. 9,669 thousands (PY : Rs. 26,597) being incremental remuneration, which has been approved by Board, for which approval by IRDAI is under process.

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

During the Year ended March 31, 2022, 25,00,000 shares were issued as ESOP to Chairman & CEO at face value of Rs. 10 per share to be vested over a period of 12 months. As per Initial public offer issue price, fair value was Rs. 900/- per share and the issue price was Rs. 10. The difference value of Rs 22,25,000 was accounted on a proportionate basis for the Year ended March 31, 2023, of Rs 14,93,493 thousands (PY : Rs 7,31,507 thousands) as 'Compensation Cost' in the Profit & Loss account.

Managerial remuneration upto Rs. 15,000 thousand, for each Managerial personnel, is disclosed under Schedule 4 "Operating Expenses" and Rs. 16,16,214 (PY : Rs. 8,44,197) being in excess of Rs. 15,000 thousands, for each Managerial personnel, is disclosed under the Shareholder's Profit and Loss Account under the head "Key management Personnel Remuneration".

B. The details of remuneration paid to other Key Management Persons as per guidelines issued by IRDAI vide Ref. no. IRDA/F&A/GDL/CG/100/05/2016 dated May 18, 2016 and as per the terms of appointment of Company are as under:

Particulars	Year ended March 31, 2023 – Rs.	Year ended March 31, 2022 – Rs.
Salaries and allowances	1,83,317	1,48,260
Contribution to provident and other fund	4542	4,281
ESOP Expenses	1,35,061	1,73,306
Total	3,22,919	3,25,847

Note: The managerial remuneration mentioned above does not include the perquisite value as per Income Tax Act, 1961 for the employee stock options exercised and the actuarially valued employee benefits that are accounted as per Accounting Standard (AS) 15 (Revised), "Employee Benefits", which is determined on an overall Company basis.

5.1.12 Share Capital and Share Application

The Details of the Company share capital raised are as under:

Allotment made during the year	Year ended March 31, 2023		Year ended March 31, 2022	
	No. of shares	Price per share (in Rs)	No. of shares	Price per share (in Rs)
Initial public offer				
- Employees	-	-	92,144	820
- QIB,MF,NIB,Retail investor & Others	-	-	2,21,40,086	900
Preferential issue to existing investors	-	-	13	488.96
Preferential issue to new investors	-	-	5,92,869	488.96
Employees Stock Options (ESOP)	34,75,174	142.43	46,10,177	142.43
Employees Stock Options (ESOP)	1,80,000	488.96	-	-
Employees Stock Options (ESOP)	25,00,000	10.00	-	-
Total	61,55,174		2,74,35,289	

**Notes to Financial Statements for the year ended 31 March 2023**

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.1.13 Outsourcing, business development and marketing support expenses.

Expenses relating to outsourcing, business development and marketing support are:

Nature of Outsourcing Expenses	Year ended March 31, 2023	Year ended March 31, 2022
Manpower Expenses	4,90,622	3,95,279
Online & Tele Marketing Expenses	6,99,415	6,31,203
Claims Investigation & Related Expenses (included in Sch-2)	-	143
Total	11,90,037	10,26,624

Outsourcing expenses has been calculated based on the Outsourcing regulation issued by IRDAI

5.1.14 Details of penal actions taken by various Govt. authorities:

S. No	Authority	Non-Compliance/ Violation	Year ended March 31, 2023 (Rs.)		
			Penalty Awarded	Penalty Paid	Penalty Waived / Reduced
1	Insurance Regulatory and Development Authority of India		Nil	Nil	Nil
2	GST/ Service Tax Authorities		Nil	Nil	Nil
3	Income Tax Authorities		Nil	Nil	Nil
4	Any other Tax Authorities		Nil	Nil	Nil
5	Enforcement Directorate / Adjudicating Authority / Tribunal or any Authority under FEMA		Nil	Nil	Nil
6	Registrar of Companies / NCLT / CLB / Department of Corporate Affairs or any Authority under Companies Act, 1956		Nil	Nil	Nil
7	Penalty awarded by any Court / Tribunal for any matter including claim settlement but excluding compensation		Nil	Nil	Nil
8	Securities and Exchange Board of India		Nil	Nil	Nil
9	Competition Commission of India		Nil	Nil	Nil
10	Any other Central / State / Local Government / Statutory Authority		Nil	Nil	Nil



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

S. No	Authority	Non-Compliance/ Violation	Year ended March 31, 2022		
			Penalty Awarded	Penalty Paid	Penalty Waived / Reduced
1	Insurance Regulatory and Development Authority of India		Nil	Nil	Nil
2	Service Tax Authorities		Nil	Nil	Nil
3	Income Tax Authorities	Late Submission of Document for Assessment	30	30	Nil
4	Any other Tax Authorities		Nil	Nil	Nil
5	Enforcement Directorate / Adjudicating Authority / Tribunal or any Authority under FEMA		Nil	Nil	Nil
6	Registrar of Companies / NCLT / CLB / Department of Corporate Affairs or any Authority under Companies Act, 1956		Nil	Nil	Nil
7	Penalty awarded by any Court / Tribunal for any matter including claim settlement but excluding compensation		Nil	Nil	Nil
8	Securities and Exchange Board of India		Nil	Nil	Nil
9	Competition Commission of India		Nil	Nil	Nil
10	Any other Central / State / Local Government / Statutory Authority	Late fees for ESI Contribution	348	348	Nil

5.1.15 Summary of Financial Statements for five years & Ratio Analysis:

- A. A summary of Financial Statements and Accounting Ratios as per the formats prescribed by the IRDAI in its circular dated April 29, 2003 is provided in Annexure 2 and Annexure 3
- B. Solvency Margin

Solvency Margin	As at March 31, 2023 – Rs.	As at March 31, 2022 – Rs.
Required solvency margin under IRDAI Regulations (A) (Rs 000)	2,46,39,284	2,56,19,962
Available solvency margin (B) (Rs 000)	5,26,17,416	4,28,74,264
Solvency ratio actual (times) (B/A)	2.14	1.67
Solvency ratio prescribed by Regulation	1.50	1.50

The income tax refund receivable of Rs.2,35,609 thousands (refer note no. 5.1.1 C) has been considered as part of eligible assets for the purpose of the calculation of Available Solvency Margin (ASM) for the Year Ended March 31, 2023.

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2 Other disclosures:

5.2.1 Basis used by the Actuary for determining provision required for IBNR (including IBNER) liability as at March 31, 2023 for all lines of business has been estimated by the Appointed Actuary in compliance with the guidelines issued by IRDAI from time to time and the applicable provisions of the Guidance Note 21 issued by the Institute of Actuaries of India.

Pursuant to IRDAI regulation of Asset, Liabilities, and Solvency margin of General Insurance Business Regulations 2016 (IRDAI/Reg/7/119/2016 dated April 7, 2016); claim reserves are determined as the aggregate amount of Outstanding Claim Reserve and Incurred but Not Reported (IBNR) claim reserve for the lines of business as applicable to the company.

5.2.2 Provision for Free Look period

The provision for Free Look period of Rs. 3,500 thousands (Year Ended March 31, 2022: Rs. 3,500 thousands) is duly certified by the Appointed Actuary.

5.2.3 Operating Lease

Lease of assets under which all the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Lease payments debited to the profit and loss account during the year ended March 31, 2023 amounts to Rs. 6,48,042 thousands (Year ended March 31, 2022: 5,75,490 thousands).

Minimum Lease Payments	Amount (Rs ' 000)	
	As at March 31, 2023	As at March 31, 2022
Not later than one year	1,06,446	1,09,465
Later than 1 year but not later than 5 years	1,03,579	1,04,714
Later than 5 years	-	-

5.2.4 Micro and Small scale business entities

As per the provisions of the Micro, Small and Medium Enterprises Development Act, 2006, (MSMED) the Micro and Small Enterprises have been identified by the Company from the available information. Based on the information available with the Company, the balance due to micro and small enterprises as defined under the MSMED Act, 2006 is as follows:

Disclosure pursuant to Micro, Small and Medium Enterprises Development Act, 2016 (MSMED Act)

Sl. No.	Particulars	As at March 31, 2023	As at March 31, 2022
(i)	The principal amount remaining unpaid to any supplier as at the end of the year	4,442	-
(ii)	Interest accrued and due thereon to suppliers under MSMED Act on the above amount remaining unpaid to any supplier at the end of year	36	-
(iii)	The amount of interest paid by in terms of Section 16 of the Micro, Small and Medium Enterprises Development Act, 2006	-	-



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

(iv)	Amounts of the payment made to the supplier beyond the appointed day during the year	-	-
(v)	Amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under Micro, Small and Medium Enterprise Development Act, 2006	-	-
(vi)	Amount of interest accrued and remaining unpaid at the end of the year	36	-
(vii)	Amount of further interest remaining due and payable even in succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance of a deductible expenditure under section 23 of the MSMED Act, 2006	-	-

5.2.5 Segmental reporting
Primary reportable segments

The Company carries on non-life insurance business in India. The Company has provided primary segmental information, in Annexure 1, as required by Accounting Standard 17 – 'Segment Reporting' issued by ICAI, read with Accounting Regulations.

Secondary reportable segments

There are no reportable geographical segments since the Company provides services only to customers in the Indian market or Indian interests abroad and does not distinguish any reportable regions within India.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.6 Related party

A. List of Related Parties and nature of relationship

Entities & Individuals with their relatives, having significant influence:

1. Safecrop Investments India LLP
2. Westbridge AIF I
3. Late Mr.Rakesh Jhunjunwala (upto 14/08/2022)
4. Mrs.Rekha Jhunjunwala.
5. Airpay Payment Service Private Limited.
6. Trust Investment Advisors Pvt. Ltd.
7. Trust Capital Services (India) Pvt. Ltd.
8. Trust Asset Management Pvt Ltd
9. Rare Enterprises
10. Konark Trust
11. MMPL Trust
12. Cyllid Technologies Private Limited
13. EBO Mart Private Limited
14. Inventurus Knowledge Solutions Private Ltd
15. Pegasus Assets Reconstruction Pvt. Ltd.
16. Renu Sharad Ruia
17. Sudha Gupta
18. M/s. Muthu Hospital Enterprises Private Limited

i. Key Management Personnel (KMP):

1. Mr. V Jagannathan, Chairman & CEO
2. Dr S Prakash, Managing Director
3. Mr. Anand Roy, Managing Director

ii. Relatives of KMP with whom transactions have taken place during the year:

1. Dr Sai Satish (Son of Mr. V Jagannathan)
2. Ms. Vasanthi Jagannathan (Wife of Mr.V Jagannathan)
3. Ms. Sunanda Jagannathan (Daughter of Mr. V Jagannathan)

B. Transactions with Related Parties

Name of the related party	Description / Designation	Transactions	Year ended March 31, 2023 – Rs..	Year ended March 31, 2022 – Rs.
Westbridge AIF I	Promoter	Reimbursement of expenses paid	-	4,106
Mr.Rakesh Jhunjunwala	Promoter	Preferential Allotment	-	-
		Reimbursement of expenses paid	-	-
Safecrop Investments India LLP	Promoter	Preferential Allotment	-	-
		Reimbursement of expenses received	-	-
		IPO Expenses Recovered	31,965	4,11,384



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Mrs. Rekha Jhunjhunwala	Relative of Promoter	Reimbursement of expenses paid	-	-
Mr. V Jagannathan	Chairman & CEO	Remuneration	25,629	25,438
		ESOP Cost	14,93,493	7,31,507
		Share Alloted Under Esop Scheme	22,50,000	-
		Perquisite tax Paid for Sweat equity	-	-
		Sale of Assets	-	437
		Interest Paid on NCD	9,752	5,111
		IPO Expenses Recovered	1,071	13,780
		Insurance Premium Received	427	137
Dr Sai Satish	Relative of Chairman &CEO	Preferential Allotment of Equity Shares	-	2,15,000
		IPO Expenses Recovered	535	6,890
Dr S Prakash	Managing Director	Remuneration	71,192	66,165
		Share Alloted under ESOP Scheme	95,734	1,24,414
Mr. Anand Roy	Managing Director	Remuneration	70,900	66,086
		Insurance Premium Received	187	127
		Share Alloted under ESOP Scheme	95,734	1,75,679
Ms. Sunanda Jagannathan	Relative of Chairman &CEO	Preferential Allotment of Equity Shares	-	50,000
		Insurance Premium Received	22	22

Name of the related party	Description / Designation	Transactions	Year ended March 31, 2023 – Rs.	Year ended March 31, 2022 – Rs.
Ms. Vasanthi Jagannathan	Relative of Chairman &CEO	Preferential Allotment of Equity Shares	-	20,000
M/s. Muthu Hospital Enterprises Private Limited	Relative of Managing Director	Claim Paid	2,059	-
M/s. Cyllid Technologies Private Limited	Promoter Group Entity	Insurance Premium Received	-	192
M/s. Konark Trust	Promoter Group Entity	IPO Expenses Recovered	143	1,845



Star Health and Allied Insurance Co. Ltd.

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

M/s. MMPL Trust	Promoter Group Entity	IPO Expenses Recovered	10	127
M/S.Ebo Mart Private Limited	Promoter Group Entity	Insurance Premium Received	-	390
M/S.Inventurus Knowledge Solutions Private Ltd	Promoter Group Entity	Claim Paid	-	103
M/S.Pegasus Assets Reconstruction Pvt. Ltd.	Promoter Group Entity	Insurance Premium Received	1,358	1,229
		Refund of Insurance Premium	29	-
		Claim Paid	699	-
M/S.Trust Capital Services (India) Private Limited	Promoter Group Entity	Primary Issue of NCD	-	50,000
		Interest Paid on NCD	-	20,444
		Insurance Premium Received	-	44
M/S.Rare Enterprises	Promoter Group Entity	Insurance Premium Received	-	444
		Primary Issue of NCD	-	5,00,000
M/s. Airpay Payment Service Private Limited	Promoter Group Entity	Advisory Services	1,084	18



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.7 A. Details of age-wise analysis of the unclaimed amount of the policyholders (excluding Income from Investment):

for the year ended March 31, 2023.

Particulars	Total Amount	AGE-WISE ANALYSIS - Rs.						
		0-6 months	7-12 months	13-18 months	19- 24 months	25 - 30 months	31 - 36 months	Beyond 36 Months
Claims settled but not paid to the policyholders due to any reasons except under litigation from the policyholders	-	-	-	-	-	-	-	-
Sum due to the insured / policyholders on maturity or otherwise	-	-	-	-	-	-	-	-
Any excess collection of the premium is refundable to the policyholders but not refunded	60,083	-	25,674	9,433	6,174	5,964	6,832	6,006
Cheques issued but not encashed by the policyholder/ insured	1,75,005	19,496	16,787	54,257	24,630	30,367	8,047	21,421
Total	2,35,088	19,496	42,461	63,690	30,804	36,331	14,879	27,427

For the year ended March 31, 2022

Particulars	Total Amount	AGE-WISE ANALYSIS - Rs.						
		0-6 months	7-12 months	13-18 months	19- 24 months	25 - 30 months	31 - 36 months	Beyond 36 Months
Claims settled but not paid to the policyholders due to any reasons except under litigation from the policyholders	-	-	-	-	-	-	-	-
Sum due to the insured / policyholders on maturity or otherwise	-	-	-	-	-	-	-	-

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Any excess collection of the premium is refundable to the policyholders but not refunded	29,336	-	9,843	6,072	5,104	2,254	689	5,375
Cheques issued but not encashed by the policyholder/insured	1,63,924	66,624	30,722	35,698	8,460	3,281	2,165	16,973
Total	1,93,261	66,624	40,565	41,770	13,564	5,535	2,854	22,348

(b) Details of Unclaimed Amount and Investment Income.

Particulars	Year ended March 31, 2023 – Rs	Year ended March 31, 2022-Rs.
Opening Balance	2,17,483	1,48,016
Add: Amount transferred to Unclaimed Fund	46,840	29,085
Add: Cheques issued out of the unclaimed amount but not encashed by the policyholders (To be included only when the Cheques are stale)	37,243	69,809
Add: Investment Income on Unclaimed Fund	12,791	8,582
Less: Amount of claims paid during the year	42,256	38,009
Less: Amount transferred to SCWF* (net of claims paid in respect of amounts transferred earlier)	-	-
Closing Balance of Unclaimed Amount Fund	2,72,101	2,17,483

*SCWF - Senior Citizen Welfare Fund

5.2.8 Details of earning per share for the Year ended as follow

S.No.	Particulars	Year ended March 31, 2023-Rs.	Year ended March 31, 2022-Rs.
1	Net Profit / (Loss) Attributable to Shareholders (Rs.in thousands)	61,85,922	(1,04,06,686)
2	Weighted Average No. of Equity Shares Issued for Basic EPS (in numbers)	57,83,63,489	55,79,75,230
3	Weighted Average No. of Equity Shares Issued for Diluted EPS (in numbers)	59,42,52,291	57,50,11,559
4	Basic Earnings Per Share (in Rs.)	10.70	(18.65)
5	Diluted Earnings Per Share (in Rs.)*	10.41	(18.65)
6	Nominal Value Per Share (in Rs.)	10.00	10.00

*As the Company has incurred loss during the year ended March 31, 2022 - dilutive effect on weighted average number of shares would have an anti-dilutive impact and hence, not considered.

Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.9 Income Tax

Income Tax provision for the year ended March 31, 2023 has been determined by applying lower tax rate of 25.168% u/s 115BAA of Income Tax Act, 1961. Similarly, deferred Tax is also determined applying the same rate.

Deferred Tax

In accordance with the Company's Accounting policy for Deferred Taxation, the net deferred tax Asset of Rs. 56,88,997 thousands has been recognized (Year Ended on March 31 2022 Deferred tax assets is Rs. 77,67,104 thousands).

Timing Difference on Account of	Year Ended March 31, 2023		Year Ended March 31, 2022	
	Deferred Tax Asset Rs.	Deferred Tax Liability Rs.	Deferred Tax Asset Rs.	Deferred Tax Liability Rs.
Carried Forward Loss				
- On Business Loss	26,54,443	-	55,13,656	-
Unexpired Risk Reserve – Income Tax Rule 6E differences	26,95,708	-	19,33,193	-
Provision for doubtful debts	90,872	-	92,368	-
Depreciation differences	33,380	-	21,927	-
Provision for Goodwill Gesture	69,133	-	66,614	-
Provision for Gratuity	26,089	-	7,145	-
Provision for Interest on GST	11,250	-	-	-
Provision for Bonus – Sec. 43B of IT Act, 1961 Disallowance	53,998	-	43,599	-
Provision for Stamps affixable – Sec. 43B of IT Act, 1961 Disallowance	3,466	-	4,171	-
Total	56,38,339	-	76,82,673	-
Net Deferred Tax Asset / (Liability)		56,38,339		76,82,673
Deferred Tax Expense / (Income) recognized in Profit & Loss A/c		20,78,107		(34,69,530)
Deferred Tax Income on IPO Expenses recognized in Share Premium A/c		(50,658)		(84,431)
Net Deferred Tax Asset / (Liability)		56,88,997		77,67,104



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.10 Terms of Borrowings

Non- Convertible debentures

The Company had issued Non-convertible debentures for Rs. 2,500,000 thousands on private placement basis during the financial year 2017-18 in two tranches of Rs. 2000,000 thousands and Rs. 5,00,000 thousands at an interest rate of 10.25% and 10.20% respectively payable annually and redeemable in 7 years. These Non-convertible debentures had a Call option after 5 years. These Non-Convertible debentures have been redeemed during the Financial Year 2022-23 with due approval of the regulatory authority.

As on September 29, 2021, the Company had issued Listed Non-convertible debentures for Rs. 4,000,000 thousands on private placement basis at an interest rate of 8.75% payable annually and redeemable in 7 years.

As on October 28, 2021, the Company had issued Listed Non-convertible debentures for Rs. 700,000 thousands on private placement basis at an interest rate of 8.75% payable annually and redeemable in 7 years.

During the year ended on March 31, 2023 the Company has incurred interest on non-convertible debentures to the extent of Rs. 5,30,454 thousands (Year Ended March 31, 2022: 4,56,620 thousands)

5.2.11 Amortization of premium / (Accretion of discount) on investments details are as follows:

Particulars	Year ended March 31, 2023 - Rs.	Year ended March 31, 2022 - Rs.
Revenue Account		
Fire		
Marine		
Miscellaneous	81,900	1,10,408
Profit & Loss Account		
Share Holders	54,414	72,121
Total	1,36,314	1,82,529

Amortization of premium pertaining to revenue a/c and the profit & loss a/c have been adjusted against Interest, Dividend & Rent credited to the respective accounts.

5.2.12 During the financial year under review, in respect of Expenses of Management, the company has not exceeded the sub segment limits prescribed under section 40C of The Insurance Act 1938, read with Insurance Regulatory and Development Authority of India (Expenses of Management of Insurers transacting General or Health Insurance business) Regulations, 2016.



Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.13 Profit related remuneration and Sitting fees paid to following directors:
A) Sitting Fees Paid

Designation	Name of the Director	Sitting Fees Paid - Rs	
		Year ended March 31, 2023	Year ended March 31, 2022
Independent Director	Mr. D R Kaarthikeyan	1,400	2,900
Independent Director	Mr. Berjis Desai	800	2,400
Independent Director	Mr. Rohit Bhasin	1,500	4,300
Independent Director	Ms. Anisha Motwani	2,500	4,500
Independent Director	Mr. Rajeev Krishnamuralilal Agarwal	2,100	3,200
Independent Director	Ms. Rajni Sekhri Sibal	2,000	3,400

5.2.14 The company does not have any long term contracts (other than long term insurance contracts) wherein the company is required to make provision towards any foreseeable losses. In respect of long-term insurance contracts, actuarial valuation of the liability as at March 31, 2023 is Rs. Nil (Year Ended March 31, 2022: Rs. Nil) There are no derivative contracts.

5.2.15 Foreign currency exposure

Foreign currency exposure as at March 31, 2023 and March 31, 2022 that has not been hedged by any derivative instrument or otherwise is estimated as follows:

Particulars	Year ended March 31, 2023 - Rs.	Year ended March 31, 2022 - Rs.
Foreign Currency Exposure on outstanding claims	743	7,376

5.2.16 Corporate Social Responsibility (CSR)

The Gross amount required to be spent by the Company on CSR initiatives is Rs. Nil, (Year Ended March 31, 2022 is Rs. Nil).

The amount spent during the year is as follows:

S.No.	Particulars	Incurred and Paid For the year ended March 31, 2023 - Rs.	Incurred and Paid For the year ended March 31, 2022 - Rs.
1	Construction / acquisition of any asset	-	-
2	On purposes other than (1) above	16,068	6,413

*including GST input credit availed.



**Notes to Financial Statements for the year ended 31 March 2023**

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

5.2.17 Exceptional Items under Revenue Account and Profit & Loss Account

The Company has incurred following expenses which are considered as exceptional items since they are non-recurring and are of such size, nature or incidence that their separate disclosure is considered necessary to explain the performance of the Company.

Particulars	Year ended March 31, 2023 Rs.	Year ended March 31, 2022-Rs.
Profit and Loss Account:		
- Compensation cost as per ESOP Scheme 2021	14,93,493	7,31,507
Total	14,93,493	7,31,507

5.2.18 Investor Education & Protection Fund:

For the year ended March 31, 2023, the company has transferred Rs. NIL (previous year Rs. NIL) to the Investor Education & Protection Fund.

5.2.19 The Indian Parliament had approved the Code on Social Security, 2020 which could impact the contributions by the Company towards Provident Fund and Gratuity. The Company will complete its evaluation once the Rules are notified and will give appropriate impact in the financial statements in the period in which the Code and related Rules becomes effective.

5.2.20 The Company has formed Steering committee of Department Heads to implement Indian Accounting Standards (Ind AS). The Steering committee meets regularly to discuss and take forward the implementation of Ind AS. The Company has appointed a Chartered Accountancy firm to assist in completing the impact analysis of various IND AS applicable to insurance companies. Senior Employees of the Company have attended training program on Ind AS 117 – Insurance Contracts conducted by Institute of Actuaries of India and Institute of Chartered Accountants of India

5.2.21 Previous Year (PY) figures have been regrouped in the respective schedule and notes wherever necessary, to conform to current year groupings. The change has no effect on the statement of financial position:

Particulars	Year ended March 31, 2023 Grouping	Year ended March 31, 2022 Grouping	Amount Rs	Reason
GST Input Service Distributor	Sch 12 Advances and Other Assets – GST Input Credit	Sch 13 Current Liabilities - Statutory Dues Payable	4,252	Presentation reclass based on nature of Asset.





Notes to Financial Statements for the year ended 31 March 2023

(All amounts are in Indian Rupees in Thousands, except for share data and where otherwise stated)

Particulars	Year ended March 31, 2023 Grouping	Year ended March 31, 2022 Grouping	Amount Rs	Reason
Employee Stock Option Outstanding	Sch 6 Reserves and Surplus - Other Reserves	Balance Sheet - Employee Stock Option Outstanding	7,56,793	Presentation reclass based on IRDAI advice
Online merchant charges	Sch 4 – Operating Expenses related to Insurance business – Interest & Bank Charges	Sch 4 – Operating Expenses related to Insurance business – Legal & professional charges	2,36,211	Presentation reclass based on IRDAI advice

For And On Behalf of Board of Directors

V. Jagannathan
Chairman & Chief Executive Officer
DIN: 01196055

Anand Roy
Managing Director
DIN: 08602245

Deepak Ramineedi
Director
DIN: 07631768

Nilesh Kambli
Chief Financial Officer

Jayashree Sethuraman
Company Secretary

As Per Our Report of Even Date attached

For M/s. Brahmayya & Co.,
Chartered Accountants
Firm Reg No.: 000511S

Jitendra Kumar K
Partner
M.No.: 201825
UDIN:

Place: Chennai
Date: April 28, 2023



For M/s. V. Sankar Aiyar & Co.,
Chartered Accountants
Firm Reg No.: 109208W

S. Venkataraman
Partner
M.No.: 023116
UDIN:



20. Segment reporting

Annexure 1

The Company's business is organised on a National basis and caters to the non-life insurance business. Accordingly, the Company has provided primary segmental information, as per Accounting Standard 17 - 'Segment Reporting' issued by ICAI read with Accounting Regulations.

Segment Revenues are either directly attributed to or, in the case of bundled products, allocated to individual segments. There are no inter segment revenues.

Operating Expenses are attributed to the business segments in line with Accounting Policy 12 in Schedule 16.

Investments, Other Assets and Liabilities are identified with the respective segments in the ratio of Share Holders and Policy Holders Funds as defined in Accounting Policy 9 in Schedule 16.

Since the business operations of the Company are entirely in India, the same is considered as one geographical segment.

(For The Year Ended Mar 31, 2023)

Particulars	Fire	Marine Cargo	Marine Hull	Aviation	Motor	Workmen Compensation / Employers Liability	Public / Product Liability	Engineering	Personal Accident	Health Insurance	Others	Income Credited / Exp Debited to P & L Account	Total
Gross Direct Premium	-	-	-	-	-	-	-	-	19,38,802	12,75,85,909	-	-	12,95,24,711
Premium Inward	-	-	-	-	-	-	-	-	14,74,390	12,17,22,028	-	-	12,31,96,418
Premium Earned (net)	-	-	-	-	-	-	-	-	13,28,259	11,12,87,690	-	-	11,26,15,949
Profit on Sale / Redemption of Investments	-	-	-	-	-	-	-	-	1,010	66,491	-	44,847	1,12,348
Others - provision for impairment of investments	-	-	-	-	-	-	-	-	74,045	48,72,680	-	32,86,570	82,33,295
Interest (Net of Amortisation)	-	-	-	-	-	-	-	-	14,03,315	11,62,26,861	-	33,31,417	12,09,61,592
Total Segmental Revenue	-	-	-	-	-	-	-	-	5,89,104	7,26,14,939	-	-	7,32,04,043
Claims Incurred (Net)	-	-	-	-	-	-	-	-	66,677	1,67,61,040	-	-	1,68,27,717
Commission Received/(Paid), Net	-	-	-	-	-	-	-	-	3,07,426	2,02,30,658	-	21,27,720	2,26,65,804
Operating Expenses Related To Insurance Business	-	-	-	-	-	-	-	-	9,63,207	10,96,06,637	-	21,27,720	11,26,97,564
Total Segmental Expenses	-	-	-	-	-	-	-	-	4,40,108	66,20,223	-	12,03,697	82,64,028
Segmental (Loss)/Profit	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Income	-	-	-	-	-	-	-	-	-	-	-	-	-
Unallocated Corporate Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision For Income Tax, FBT, Deferred Tax Asset And Wealth Tax, MAT	-	-	-	-	-	-	-	-	-	-	-	-	-
Add: Reversal of MAT Credit Entitlement of Previous Years	-	-	-	-	-	-	-	-	-	-	-	-	-
Less: MAT Credit Entitlement	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Profit For The Year	-	-	-	-	-	-	-	-	4,40,108	66,20,223	-	(8,74,409)	61,85,922
Segment Assets	-	-	-	-	-	-	-	-	13,69,347	9,01,12,049	-	6,07,79,604	15,22,61,000
Segment Liabilities	-	-	-	-	-	-	-	-	13,18,669	8,67,77,096	-	48,92,456	9,29,88,221
Capital Expenditure	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization Of Premium And Discount	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation	-	-	-	-	-	-	-	-	1,310	86,211	-	58,148	1,45,669
Non - Cash Expenditure Other Than Depreciation And	-	-	-	-	-	-	-	-	4,683	3,08,148	-	2,07,843	5,20,674



(For The Year Ended March 31, 2022)

(Rs.'000)

Particulars	Fire	Marine Cargo	Marine Hull	Aviation	Motor	Workmens Compensation / Employers Liability	Public / Product Liability	Engineering	Personal Accident	Health Insurance	Others	Income Credited / Exp Debited to P & L Account	Total
Gross Direct Premium Premium Inward	-	-	-	-	-	-	-	-	16,89,252	11,29,45,463	-	-	11,46,34,715
Net Written Premium	-	-	-	-	-	-	-	-	11,46,299	10,69,48,582	-	-	10,80,94,881
Premium Earned (net)	-	-	-	-	-	-	-	-	11,71,592	9,69,20,030	-	-	9,80,91,622
Profit on Sale / Redemption of Investments	-	-	-	-	-	-	-	-	14,470	9,67,513	-	6,41,454	16,23,438
Others - provision for impairment of investments	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest (Net of Amortisation)	-	-	-	-	-	-	-	-	56,198	37,57,444	-	24,91,157	63,04,799
Total Segmental Revenue	-	-	-	-	-	-	-	-	12,42,260	10,16,44,987	-	31,32,612	10,60,19,859
Claims Incurred (Net)	-	-	-	-	-	-	-	-	8,25,777	8,45,74,097	-	-	8,53,99,875
Commission Received/(Paid), Net	-	-	-	-	-	-	-	-	1,46,628	1,47,75,176	-	-	1,49,21,804
Operating Expenses Related To Insurance Business	-	-	-	-	-	-	-	-	2,70,925	1,81,14,351	-	12,79,260	1,96,64,536
Total Segmental Expenses	-	-	-	-	-	-	-	-	12,43,330	11,74,63,625	-	12,79,260	11,99,86,215
Segmental (Loss)/Profit	-	-	-	-	-	-	-	-	(1,070)	(1,58,18,638)	-	18,53,352	(1,39,66,356)
Other Income	-	-	-	-	-	-	-	-	-	-	-	-	-
Unallocated Corporate Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-
Provision For Income Tax, FBT, Deferred Tax Asset And Wealth Tax, MAT	-	-	-	-	-	-	-	-	-	-	-	(35,59,669)	(35,59,669)
Add: Reversal of MAT Credit Entitlement of Previous Years	-	-	-	-	-	-	-	-	-	-	-	-	-
Less: MAT Credit Entitlement	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Profit For The Year	-	-	-	-	-	-	-	-	(1,070)	(1,58,18,638)	-	54,13,021	(1,04,06,687)
Segment Assets	-	-	-	-	-	-	-	-	12,04,572	8,05,39,140	-	5,33,96,852	13,51,40,564
Segment Liabilities	-	-	-	-	-	-	-	-	11,41,783	7,63,41,022	-	41,50,350	8,16,33,155
Capital Expenditure	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization Of Premium And Discount	-	-	-	-	-	-	-	-	1,728	1,15,563	-	76,617	1,93,909
Depreciation	-	-	-	-	-	-	-	-	3,859	2,58,047	-	1,71,083	4,32,989
Non - Cash Expenditure Other Than Depreciation And Amortization	-	-	-	-	-	-	-	-	-	-	-	-	-



Annexure - 2

Summary of Financial Statements		Rs. in Lakhs				
Sl No	Particulars	2022-23	2021-22	2020-21	2019-2020	2018-2019
	OPERATING RESULTS					
1	Gross Premiums Written	12,95,247	11,46,347	9,38,854	6,86,514	5,40,129
2	Net Premium Income#	12,31,964	10,80,949	7,17,943	5,23,947	4,12,871
3	Income from investments (net)@	50,142	47,956	25,053	16,962	11,531
4	Other income -Transfer fee etc	-	-	-	-	-
5	Total Income	12,82,106	11,28,905	7,42,995	5,40,909	4,24,401
6	Commissions (Net)	1,68,277	1,49,218	58,576	34,041	25,691
7	Brokerage	-	-	-	-	-
8	Operating Expenses	2,05,381	1,83,853	1,40,305	1,09,557	98,792
9	Claims, increase in Unexpired Risk Reserve and Other outgoes	8,37,845	9,54,031	6,92,225	3,64,281	2,76,968
10	Operating Profit/loss	70,603	(1,58,197)	(1,48,111)	33,030	22,951
	NON OPERATING RESULTS					
11	Total income shareholders' account	33,885	32,136	17,348	12,408	8,013
12	Expenses charged to Profit and Loss A/c	21,848	13,603	13,817	4,817	4,255
13	Profit/(loss) before tax	82,640	(1,39,664)	(1,44,581)	40,621	26,709
14	Provision for tax	20,781	(35,597)	(36,009)	14,290	8,367
15	Profit/(loss) after tax	61,859	(1,04,067)	(1,08,571)	26,330	18,342

MISCELLANEOUS

16	Policyholders' Account					
	Total funds	7,50,215	6,14,095	3,88,697	2,30,591	1,78,092
	Total investments	8,04,624	6,87,955	4,04,257	2,47,891	1,78,776
	Yield on investments	6.94%	8.25%	7.13%	7.55%	7.54%
17	Shareholders' Account					
	Total funds	4,98,438	4,01,141	2,68,657	1,68,465	1,22,005
	Total investments	5,34,586	4,49,388	2,79,411	1,81,104	1,24,234
	Yield on investments	6.94%	8.25%	7.13%	7.55%	7.54%
18	Paid up equity capital	58,168	57,552	54,809	49,064	45,558
19	Net worth	5,43,013	4,51,338	3,48,434	1,88,880	1,48,051
20	Total assets	15,22,610	13,51,406	10,50,098	5,99,350	4,73,282
21	Yield on total investments	6.94%	8.25%	7.13%	7.55%	7.54%
22	Basic Earnings per share (Rs.)*	10.70	(18.65)	(21.75)	5.49	3.75
23	Diluted Earnings per share (Rs.)*	10.41	(18.65)	(21.75)	5.38	3.70
24	Book Value per share (Rs.)	93.35	78.42	63.57	38.50	24.81
25	Total Dividend	-	-	-	-	-
26	Dividend per share (Rs.)	-	-	-	-	-

Net of reinsurance

@ Net of losses

* EPS has been calculated in accordance with AS-20 Basic & Diluted (Face Value Rs.10/- each)

Profit / (Loss) for the year	61,859	(1,04,067)	(1,08,571)	26,330	18,342
Share capital & Reserves	5,43,013	4,51,338	3,48,434	1,88,880	1,48,051
Weighted Average Number of Shares at the end of the year	57,83,63,489	55,79,75,230	49,91,90,903	47,93,86,971	45,55,76,106
Weighted Average Number of Equity Shares at the end of the year for Diluted EPS	59,42,52,291	57,50,11,559	51,53,90,982	48,94,62,708	46,17,76,973



Ratios for Non-life Insurance Companies

Sl No	Performance Ratio	FOR Q4 FY23	FY 22-23	FOR Q4 FY22	FY 21-22
1	Gross premium growth rate (segment wise) (Increase in Gross premium for the current year when compared to last year divided by gross premium for the previous year)	Schedule 1	Schedule 1	Schedule 1	Schedule 1
2	Gross premium to shareholders' fund ratio: (Gross premium for the current year divided by the paid up capital plus free reserves)	0.77	2.39	0.82	2.54
3	Growth rate of shareholders' funds: (Increase in Shareholders' funds as at the current balance sheet date compared to previous year divided by the shareholders' funds at the previous balance sheet date)	20.31%	20.31%	29.53%	29.53%
4	Net retention ratio (segment wise) (Net premium divided by gross premium)	Schedule 2	Schedule 2	Schedule 2	Schedule 2
5	Net commission ratio (segment wise) (Commission net of reinsurance for a class of business divided by net premium)	Schedule 3	Schedule 3	Schedule 3	Schedule 3
6	Expenses of Management to gross direct premium ratio (Expenses of Management divided by the total gross direct premium)	29.23%	29.97%	30.17%	30.12%
7	Expenses of Management to net written premium ratio (Expenses of Management divided by the net written premium)	29.36%	30.33%	30.33%	30.81%
8	Net Incurred Claims to Net Earned Premium	61.99%	65.00%	68.09%	87.06%
9	Combined ratio: (Net Incurred Claims divided by net earned premium + Expenses of Management divided by Net written premium)	91.35%	95.33%	98.42%	117.87%
10	Technical reserves to net premium ratio (Reserve for unexpired risks plus premium deficiency reserve plus reserve for outstanding claims divided by net premium)	202.17%	65.53%	204.76%	65.80%
11	Underwriting balance ratio (segment wise) (Underwriting profit divided by net earned premium for the respective class of business)	Schedule 4	Schedule 4	Schedule 4	Schedule 4
12	Operating profit ratio (Underwriting profit plus investment income divided by net earned premium)	2.58%	6.27%	-3.74%	-16.13%
13	Liquid assets to liabilities ratio (Liquid assets of the insurer divided by the policy holders' liabilities)	29.59%	29.59%	35.41%	35.41%
14	Net earnings ratio (Profit after tax divided by net premium)	2.55%	5.02%	-2.36%	-9.63%
15	Return on network (Profit after tax divided by net worth)	1.87%	11.39%	-1.82%	-23.06%
16	Reinsurance ratio (Risk reinsured divided by gross premium)	4.91%	4.89%	5.84%	5.70%
17	Gross NPA Ratio	0.00	0.00	0.00	0.00
18	Net NPA Ratio	0.00	0.00	0.00	0.00
19	Solvency Ratio	2.14	2.14	1.67	1.67



Accounting Ratios - Schedule 1

Gross premium growth rate

Segment	Growth (%)			
	For Q4 FY 22-23	FY 22-23	For Q4 FY 21-22	FY 21-22
Fire	-	-	-	-
Marine	-	-	-	-
Motor	-	-	-	-
Workmen's Compensation/ Employers Liability	-	-	-	-
Public/Product Liability	-	-	-	-
Engineering	-	-	-	-
Personal Accident	(0.09%)	14.77%	(20.33%)	(0.20%)
Health Insurance	14.06%	12.96%	13.90%	22.51%
Others	-	-	-	-
Total	13.83%	12.99%	13.10%	22.10%

Accounting Ratios - Schedule 2

Net retention ratio

Segment	% to GP			
	For Q4 FY 22-23	FY 22-23	For Q4 FY 21-22	FY 21-22
Fire	-	-	-	-
Marine	-	-	-	-
Motor	-	-	-	-
Workmen's Compensation/ Employers Liability	-	-	-	-
Public/Product Liability	-	-	-	-
Engineering	-	-	-	-
Personal Accident	75.49%	76.05%	76.90%	67.86%
Health Insurance	95.38%	95.40%	94.45%	94.69%
Others	-	-	-	-
Total	95.09%	95.11%	94.16%	94.30%

Accounting Ratios - Schedule 3

Net commission ratio

Segment	% to NP			
	For Q4 FY 22-23	FY 22-23	For Q4 FY 21-22	FY 21-22
Fire	-	-	-	-
Marine	-	-	-	-
Motor	-	-	-	-
Workmen's Compensation/ Employers Liability	-	-	-	-
Public/Product Liability	-	-	-	-
Engineering	-	-	-	-
Personal Accident	(10.73%)	4.52%	10.59%	12.79%
Health Insurance	14.35%	13.77%	14.66%	13.82%
Others	-	-	-	-
Total	14.07%	13.66%	14.60%	13.80%

Accounting Ratios - Schedule 4

Underwriting balance
ratio

Segment	% to NP			
	For Q4 FY 22-23	FY 22-23	For Q4 FY 21-22	FY 21-22
Fire	-	-	-	-
Marine	-	-	-	-
Motor	-	-	-	-
Workmen's Compensation/ Employers Liability	-	-	-	-
Public/Product Liability	-	-	-	-
Engineering	-	-	-	-
Personal Accident	62.58%	27.48%	39.87%	(6.12%)
Health Insurance	(3.01%)	1.51%	(9.28%)	(21.20%)
Others	-	-	-	-
Total	(2.25%)	1.82%	(8.29%)	(21.02%)



MANAGEMENT REPORT

In accordance with part IV Schedule B of the Insurance Regulatory and Development Authority of India (Preparation of Financial Statements and Auditors Report of Insurance Companies) Regulations, 2002, the following Management Report for the year ended March 31, 2023 is submitted:

1. The Company received the Certificate of Registration under the provisions of sub-section (2A) of section 3 of the Insurance Act, 1938 from the Insurance Regulatory and Development Authority of India, to transact the business of general insurance, from 16th March 2006 and continues to be valid.
2. To the best of our knowledge and belief, all material sums payable to the statutory authorities, other than contested claims, have been duly paid.
3. The shareholding pattern and the transfer of shares during the year ended March 31, 2023 are in accordance with the statutory or regulatory requirements.
4. No funds of the policyholders have been invested directly or indirectly outside India.
5. The Company has maintained the required solvency margins laid down by Insurance Regulatory and Development Authority of India.
6. The values of all the assets have been reviewed on the date of the Balance Sheet and that in our belief the assets set forth in the Balance Sheet are shown in aggregate at amounts not exceeding their realizable or market value under the headings – “Loans”, “Investments”, “Agents balances”, “Interest, “Dividends and Rents accruing but not due”, “Outstanding premiums”, “Interest, Dividends and Rents outstanding”, “Amounts due from other persons or Bodies carrying on insurance business”, “Advances”, “Cash” and the several items specified under “Other Accounts”.
7. Company is exposed to a variety of risks, such as quality of risks underwritten, fluctuations in the value of assets etc. The Company monitors these risks closely and takes effective remedial steps to address these risks. The Company, through an appropriate reinsurance program has kept its risk exposure at a level commensurate with its capacity.
8. The Company does not have operations outside India and therefore does not have any material country/currency fluctuation risks.



I. The ageing of outstanding claims for the preceding 5 years is as follows:

Health (Including Travel)

(Rs in 000s)

PARTICULARS	2022-23		2021-22		2020-21		2019-20		2018-19	
	No of claims	Amount	No of claims	Amount	No of claims	Amount	No of claims	Amount	No of claims	Amount
CLAIM OUTSTANDING WITHIN 30 DAYS	78,698	35,96,288	55,737	30,70,255	62,139	41,74,999	47,241	23,33,707	31,821	19,45,352
CLAIM OUTSTANDING WITHIN 31 TO 90 DAYS	26,052	8,98,756	24,887	13,62,853	19,734	10,90,017	11,546	9,73,388	7,139	4,59,635
CLAIM OUTSTANDING WITHIN 91 TO 180 DAYS	11,992	2,36,699	13,109	5,48,691	6,556	3,83,785	2,196	1,78,677	1,832	1,11,295
CLAIM OUTSTANDING WITHIN 181 TO 365 DAYS	8,294	1,71,942	13,219	4,03,036	4,020	2,02,343	1,982	1,29,268	1,408	99,318
CLAIM OUTSTANDING AFTER ONE YEAR	821	1,50,605	2,701	1,78,599	220	1,01,032	402	89,921	468	68,103

Personal Accident

PARTICULARS	2022-23		2021-22		2020-21		2019-20		2018-19	
	No of claims	Amount	No of claims	Amount	No of claims	Amount	No of claims	Amount	No of claims	Amount
CLAIM OUTSTANDING WITHIN 30 DAYS	632	3,27,861	357	60,022	316	55,441	284	40,539	273	39,481
CLAIM OUTSTANDING WITHIN 31 TO 90 DAYS	249	1,26,141	270	1,50,333	270	68,257	276	1,13,520	267	70,182
CLAIM OUTSTANDING WITHIN 91 TO 180 DAYS	21	1,615	160	98,887	82	44,548	140	82,798	114	62,733
CLAIM OUTSTANDING WITHIN 181 TO 365 DAYS	30	1,911	117	1,19,671	83	42,797	114	1,05,213	73	57,765
CLAIM OUTSTANDING AFTER ONE YEAR	24	14,507	47	60,345	84	48,184	41	31,892	9	4,161

II. The number of claims settled & average claims settlement time for the preceding 5 years is as follows:

PRODUCT	2022-23		2021-22		2020-21		2019-20		2018-19	
	No of claims settled	Average Settlement time (Days)	No of claims settled	Average Settlement time (Days)	No of claims settled	Average Settlement time (Days)	No of claims settled	Average Settlement time (Days)	No of claims settled	Average Settlement time (Days)
Health (including Travel)	14,68,679	10.9	14,70,447	11.7	8,47,139	11	8,92,520	6	6,35,044	6
Personal Accident	2,353	10.8	2,170	12	1,818	12	2,376	11	2,343	9

Note: Average settlement time is taken from the date of last document receipt till date of settlement of claims.



III. Details of claims intimated is given below:

(Rs. 000s)

PRODUCT	2022-23		2021-22	
	No of claims Intimated	Amount	No of claims Intimated	Amount
Health (including Travel)	18,45,951	14,20,08,786	17,99,469	14,44,50,229
Personal Accident	7,464	25,38,942	6,216	23,69,986

Note: Claims intimated inclusive for reported claims and reopened claims

10. As at March 31, 2023, the investments of the Company comprise of investments in Government securities (both Central & State Govt. securities), housing, infrastructure and other corporate bonds, mutual fund, REiTs, INViT, ETF, TREPS and fixed deposits with banks.

The investments in Government securities are considered as "Held to Maturity (HTM)" and are measured at historical cost subject to amortization and investments in fixed deposits of banks are measured at face value. Similarly, Investments in mutual funds are measured at Net Asset Value and investment in REIT is reported at Market Value as on March 31, 2023 and the unrealized gain / loss is debited / credited to Fair Value Change Account.

The market value of investments in Debt Securities including Government Securities have been ascertained by reference to the quotations published on the last working day of the financial year by FIMMDA. The market value of Debt Securities including Government Securities which were not quoted on the last working day of the Financial year have been ascertained on the basis of prevailing Yield to Maturity provided by FIMMDA. The aggregate market value of investments, other than equity shares, mutual funds, ETFs, investments in REiTS & INViT, as per Schedule 8 & 8A annexed to the Balance Sheet stood at Rs. 12,17,45,338 thousands as at March 31, 2023 as against the book value of Rs 12,47,11,121 thousands. The investment income, net of amortization including profit on sale of investments was Rs. 83,45,643 thousands for the year ended March 31, 2023. The weighted average yield on all the Fixed Income bearing Investments (including Profit on sale) was 6.94%.

11. The Company has adopted a prudent investment policy with emphasis on optimizing return with minimum risk. Significant weighing of the assets has been made towards low risk investments such as Government Securities, Treasury bills and other good quality Debt instruments.

All the investments have been duly serviced.

12. Director's Responsibility Statements:

- In the preparation of financial statements, the applicable Accounting Standards, principles and policies have been followed along with proper explanations relating to material departures, if any.
- The management has adopted accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year ended March



- III. The Management has taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the applicable provisions of the Insurance Act, 1938 and Companies Act, 2013, for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- IV. The Management has prepared the financial statements on a going concern basis.
- V. The Management has put in place an internal audit system commensurate with the size and nature of the business and it is operating efficiently. The observations of the internal auditors are being addressed by the Company and the Company will ensure that all the requirements will be fully complied with.
13. There are no payments other than those arising in the normal course of the Company's Insurance business, made to individuals, firms, companies and organizations in whom / which the directors of the company are interested.

For And On Behalf of Management


Nilesh Kambli
Chief Financial Officer


V. Jagannathan
Chairman & Chief Executive Officer

Place : Chennai

Date : April 28, 2023

